ixamBee

Prepare 50% Faster

MCQ BOOKLET

COMPANIES ACT, 2013

1. Which of the following is a new type of company which was introduced by the Companies Act, 2013?
    a. One Person Company
    b. One Personality Company
    c. Limited Liability Partnership
    d. Public Private Partnership
    e. One-man Public Private Company

2. A small company is a company whose paid-up capital and turn over shall_________________
    a. Exceed rupees two crores and rupees ten crores
    b. Exceed rupees four crores and rupees forty crores
    c. Not exceed rupees four crores and rupees forty crores
    d. Not exceed rupees two crores and rupees twenty crores
    e. Be such as the company may decide from time to time

3. The maximum number of directors in a public company can be ________________ and it can be more than the said number if the company passes a___________________
    a. 2 and Ordinary Resolution
    b. 3 and Special Resolution
    c. 3 and Ordinary Resolution
    d. 15 and Special Resolution
    e. 15 and Ordinary Resolution

4. How many Schedules are there under the Companies Act, 2013?
    a. Three
    b. Four
    c. Five
    d. Six
    e. Seven

5. Which type of share is issued by a company to its existing shareholders without receipt of any consideration from shareholders for issuance of such share?
    a. ESOP
    b. Right shares
    c. Bonus Shares
    d. Preference Shares
    e. Sweat Equity Shares

6. A company limited by shares is a type of company where the liability of its members is _________________
    a. Limited to the amount paid on the shares held by them
    b. Unlimited to the amount unpaid on the shares held by them

c. Unlimited to the amount unpaid, if any, on the shares held by them
d. Limited to the amount unpaid, if any, on the shares held by them
e. To the amount up to which each member undertakes to contribute

7. A company shall not, at any time, vary the terms of a contract referred to in the prospectus or objects for which the prospectus was issued, except subject to the approval of, or except subject to an authority given by the company in general meeting by way of____________
    a. Board Resolution
    b. General Resolution
    c. Special Resolution
    d. Ordinary Resolution
    e. Extra ordinary Resolution

8. A prospectus shall not be a valid prospectus if it has been issued _____________
    a. Within ninety days from the date on which a copy is delivered to the Registrar for filing
    b. Less than ninety days after the date on which a copy is delivered to the Registrar for filing
    c. More than ninety days after the date on which a copy is delivered to the Registrar for filing
    d. By the company after the date on which a copy is delivered to the Registrar for filing
    e. By the company without the prior approval of the Central Government

9. A Public Company is a company which has a minimum paid-up share capital ____________
    a. As may be prescribed
    b. No minimum paid-up capital requirement
    c. Five lakh rupees or fifty crore paid-up capital
    d. One lakh rupee or such higher paid-up capital as may be prescribed
    e. Five lakh rupees or such higher paid-up capital as may be prescribed

10. The issue of shares by a company on a discount is prohibited and thus, it shall be ____________
    a. Void
    b. Illegal
    c. Voidable
    d. Unenforceable
    e. Unauthorized

11. A Private company can issue shares through___________
    a. Bonus issue
    b. Private offer
    c. Issue of securities

d. Initial Public offer
e. All the above

12. Any change in the name of the person indicated in the Memorandum of One Person Company as a nominee ________________________
    a. May be deemed to be an alteration of the memorandum
    b. Shall be deemed to be an alteration of the memorandum
    c. Shall not be deemed to be an alteration of the memorandum
    d. May not be deemed to be an alteration of the memorandum
    e. Is deemed to be an alteration of the memorandum

13. When are the members of a Company considered to be severally liable under the Companies Act, 2013?
    a. If the number of members of a company is not as required and the company carries on business for more than six months while the number of members is so reduced,
    b. If the number of members of a company is reduced below the required number and the company carries on business for six months while the number of members is so reduced
    c. If the number of members of a company is reduced below the required number and the company carries on business for more than six months while the number of members is so reduced
    d. If the number of members of a company is reduced below the required number and the company carries on business for less than six months while the number of members is so reduced
    e. If the number of members of a company is more than the required number and the company carries on business for more than six months while the number of members is so reduced

14. The Registrar shall allot to the company a corporate identity number which shall be _____________
    a. A distinct identity for the company and which shall also be included in the certificate of incorporation
    b. A distinct identity for the director and which shall also be included in the certificate of incorporation
    c. A distinct document for the company and which shall not be included in the certificate of incorporation
    d. A distinct certificate for the company and which shall also be included in the certificate of incorporation
    e. A unique certificate for the company and which shall also be included in the certificate of incorporation

15. As per the Companies Act, 2013 a Company means_____________
    a. A company incorporated under the Companies Act, 2013
    b. A company incorporated under Companies Act 1956
    c. A company incorporated under any previous company law

d. Either a or c
e. Either a or b or c

16. As per the definition of Prospectus under the Companies Act a prospectus means and includes___________
    a. A shelf prospectus
    b. A red herring prospectus
    c. Any document described or issued as a prospectus
    d. All a or b & c
    e. Both a & b

17. What is the minimum number of members required to form a public company?
    a. No such prescribed number
    b. Minimum two members
    c. Minimum seven members
    d. Minimum seventeen members
    e. As the Central Government may prescribe

18. The Companies Act, 2013 was enacted on ____________
    a. 20th August 2013
    b. 25th August 2013
    c. 29th August 2013
    d. 30th August 2013
    e. 31st August 2013

19. Which of the following is true relating to Red- herring Prospectus?
    a. It is issued prior to the issue of a prospectus
    b. It shall carry the same obligations as are applicable to a prospectus
    c. It shall be filed with the Registrar at least three days prior to the opening of the subscription list and the offer
    d. All a, b & c
    e. Both a & c

20. Which section of the Companies Act lays down provisions relating to document containing offer of securities for sale to be deemed prospectus?
    a. Section 15
    b. Section 25
    c. Section 30
    d. Section 35
    e. Section 3
21. What are the various conditions on the basis of which a retiring auditor may be re-appointed at an annual general meeting as per the Companies Act?
    a. He is not qualified for re-appointment

b. He has not given the company a notice in writing of his unwillingness to be re-appointed
c. A special resolution has been passed at that meeting appointing some other auditor
d. A special resolution has been passed at that meeting providing expressly that he shall not be re-appointed
e. All a, b, c & d

22. The first auditor of a company, other than a Government company, shall be appointed by the _________________ within thirty days from the date of registration of the company
    a. Members
    b. Shareholders
    c. Board of Directors
    d. Central Government
    e. Controller and Auditor General of India

23. ___________ may fix remuneration of the first auditor appointed by the Board as per section 142 of the Companies Act
    a. Board
    b. Director
    c. Members
    d. Shareholders
    e. Central Government

24. A person shall be eligible for appointment as an auditor of a company only if he is a _______________
    a. Cost Accountant
    b. Chartered accountant
    c. Chartered accountant in practice
    d. Any person as the Board may decide
    e. Either a or b or c or d

25. In the case of a Government company the Comptroller and Auditor-General of India shall, appoint an auditor within a period of _____________ from the commencement of the financial year, who shall hold office till the conclusion of the annual general meeting
    a. Sixty days
    b. Ninety days
    c. One hundred and eighty days
    d. One hundred and twenty days
    e. One hundred and eighty- two days

26. Which section of the Companies Act delas with the public offer of securities to be in dematerialised form?
    a. Section 25

b. Section 26
c. Section 27
d. Section 28
e. Section 29

27. A company may, ____________________, issue depository receipts in any foreign country in such manner, and subject to such conditions, as may be prescribed
    a. After passing an ordinary resolution in its general meeting
    b. After passing a special resolution in its general meeting
    c. After passing an extra ordinary resolution
    d. After approval of the Central Government
    e. None of the above

28. The function performed by National Financial Reporting Authority includes____________
    a. Making recommendations to the Central Government on the formulation and laying down of accounting and auditing policies and standards
    b. Monitor and enforce the compliance with accounting standards in the prescribed manner
    c. Oversee the quality of service of the professions associated with ensuring compliance with such standards, and suggest measures required for improvement in quality of service and such other related matters as may be prescribed
    d. All the above
    e. Both (a) & (b)

29. What is the time period within which a copy of the financial statement, including consolidated financial statement, if any duly adopted at the annual general meeting of the company, shall be filed with the Registrar?
    a. Fifteen days
    b. Thirty days
    c. Forty-five days
    d. Sixty days
    e. Ninety days

30. What is the minimum number of directors which a One Person Company can have?
    a. One
    b. Two
    c. Three
    d. Fifteen
    e. No such requirement

31. The maximum number of public companies in which a person can be appointed as a director shall______________
    a. Not exceed ten

b. Not be more than twenty
c. May be more than twenty
d. As the Central Government may prescribe
e. None of the above

32. Every company shall, _____________of the receipt of intimation under section 156, furnish the Director Identification Number of all its directors to the Registrar or any other officer or authority as may be specified by the Central Government
a. Within seven days
b. Within fifteen days
c. Within thirty days
d. Within forty-five days
e. None of the above

33. The articles of a company may confer on its Board of Directors the power to appoint any person, other than a person who fails to get appointed as a director in a general meeting, as an additional director at any time who shall hold office_____________
a. Up to the date of the next annual general meeting
b. Till the last date on which the annual general meeting should have been held
c. Either (a) or (b) whichever is earlier
d. Either (a) or (b) whichever is later
e. At the discretion of the Board of Directors

34. The Central Government shall __________________from the receipt of the application under section 153, allot a Director Identification Number to an applicant in such manner as may be prescribed
a. Within seven days
b. Within fifteen days
c. Within one month
d. Within one-twenty days
e. Within such time period as the Central Government may prescribe

35. ______________may have one director elected by such small shareholders in such manner and with such terms and conditions as may be prescribed
a. Small Company
b. Listed Company
c. Unlisted Company
d. Private Company
e. One Person Company

36. Which of the following falls under the category of Key Managerial Personnel?
a. Chief Financial Officer
b. Company Secretary

c. Managing Director
d. All the above
e. Both (a) & (c)

37. No company shall appoint or re-appoint any person as its managing director, whole-time director or manager for__________________
a. A term exceeding two years at a time
b. A term exceeding five years at a time
c. A term exceeding fifteen years at a time
d. A term as may be prescribed for the same
e. None of the above

38. What shall be the composition of an Audit Committee?
a. Minimum of three directors
b. Maximum of three directors
c. Minimum of three directors with no independent directors
d. Minimum of three directors with independent directors forming a majority
e. None of the above

39. company to be the maximum amount of share capital of the company
a. Nominal capital
b. Issued Capital
c. Subscribed Capital
d. Called -up Capital
e. Either (b) or (c)

40. A company may advance any loan including any loan represented by a book debt, or give any guarantee or provide any security in connection with any loan taken by any person in whom any of the director of the company is interested if__________________
a. A special resolution is passed by the company in general meeting
b. An ordinary resolution is passed by the company in the general meeting
c. The loans are utilised by the borrowing company for its principal business activities
d. Both (a) & (c)
e. Either a or b & c

41. No company limited by shares shall, after the commencement of this Act, issue any preference shares which are _______________
a. Redeemable
b. Irredeemable
c. Cumulative
d. All the above
e. Either of the above

42. As per section 55 of the Companies Act Infrastructure Projects means the infrastructure projects specified in__________________
    a. Schedule III
    b. Schedule IV
    c. Schedule V
    d. Schedule VI
    e. Schedule VII

43. On an application made to ______________by the company, a company limited by shares or limited by guarantee and having a share capital may, by a special resolution, reduce the share capital
    a. NCLAT
    b. Tribunal
    c. Central Government
    d. Appropriate Authority
    e. Registrar of companies

44. Which section of the Companies Act delas with the payment of dividend in proportion to amount paid-up?
    a. Section 47
    b. Section 50
    c. Section 51
    d. Section 59
    e. Section 61

45. What shall be the effect of registration of a company?
    a. Common seal
    b. Perpetual succession
    c. Power to acquire, hold and dispose of property
    d. All the above
    e. Both (b) & (c)

46. Which section of the Companies Act delas with the provision of conversion of companies already registered?
    a. Section 7
    b. Section 8
    c. Section 18
    d. Section 19
    e. Section 22

47. All monies received on application from the public for subscription to the securities shall be kept in a separate bank account in a scheduled bank and shall not be utilised for any purpose other than_________________

a. For adjustment against allotment of securities where the securities have been permitted to be dealt with in the stock exchange or stock exchanges specified in the prospectus
b. For the repayment of monies within the time specified by the Securities and Exchange Board, received from applicants in pursuance of the prospectus, where the company is for any other reason unable to allot securities
c. Either of the above
d. Both (a) & (b)
e. None of the above

48. Which of the following amount shall be credited to the Investor Education and Protection Fund?
a. Amount given by the Central Government by way of grants
b. Donations given by the Central Government, State Governments, companies or any other institution
c. Application money received by companies for allotment of any securities and due for refund
d. All the above
e. Both (a) and (b)

49. In case the office of any whole-time key managerial personnel is vacated, the resulting vacancy shall be filled-up by the Board at a meeting of the Board within a period of_________ from the date of such vacancy
a. Fifteen days
b. One-twenty days
c. Six months
d. One year
e. None of the above

50. Companies Act, 2013 is applicable to __________________
a. Banking Companies
b. Insurance Companies
c. Companies governed by Special Acts
d. Companies Act, 2013 or any previous company law
e. All the above

51. A Private Company can raise funds in how many ways _____________________

a. Right Issue
b. Prospectus
c. Private Placement
d. All the above
e. Both (a) & (c)

52. The correct statement/s relating to a Shelf Prospectus are_________________
    a. No need for a separate prospectus for each offering
    b. An Information Memorandum is required to be filed for subsequent issues
    c. Validity period cannot exceed more than two years or as may be prescribed
    d. Both (a) & (b)
    e. All a b & c

53. The auditor appointed under section 139 of the Companies Act may be removed from his office before the expiry of his term only by a special resolution of the company________________
    a. By taking approval of the Central Government in that behalf within ninety days
    b. After obtaining the previous approval of the Central Government in that behalf in the prescribed manner
    c. Before obtaining the previous approval of the Central Government in that behalf in the prescribed manner
    d. After obtaining the previous approval of the SEBI in that behalf in the prescribed manner
    e. None of the above

54. A company limited by shares may, if so, authorised by its articles, issue preference shares which are liable to be redeemed within a period____________________
    a. Exceeding thirty years from the date of their issue
    b. Exceeding twenty years from the date of their issue
    c. Not exceeding twenty years from the date of their issue
    d. Not exceeding thirty years from the date of their issue
    e. As may be prescribed by the Central Government

55. As per the Companies Act the Securities Premium Account cannot be used for____________
    a. Payment of dividend
    b. To write off preliminary expenses
    c. For issue of fully paid Bonus Shares
    d. For Premium payable on redemption
    e. For buy back of own shares or securities

56. Which statement is correct relating to debentures issued by a company___________
    a. Debentures carrying voting right can be issued
    b. Debentures carrying an option to convert such debentures into shares can be issued
    c. Secured debentures may be issued by a company subject to such terms and conditions as may be prescribed
    d. All the above
    e. Both (b) & (c)

57. All shares in respect of which dividend has not been paid or claimed for seven consecutive years or more shall be transferred by the company ________________
    a. To Unclaimed Dividend Account
    b. To Investor Education and Protection Fund
    c. To Investors Education and Portfolio Fund
    d. To the Contingency Fund of India
    e. Either of the above as may be prescribed

58. What is the time period within which the mount of the dividend, including interim dividend, shall be deposited in a scheduled bank in a separate account from the date of declaration?
    a. Within 5 days
    b. Within 7 days
    c. Within 15 days
    d. Within 30 days
    e. Within such period as maybe prescribed

59. A company may purchase its own shares or other specified securities subject to the following condition____________
    a. It should be authorized by the Articles
    b. It should be completed within a period of one year
    c. A special resolution should be passed at general meeting authorising the buy-back
    d. It should be done out of the Securities Premium Account
    e. All the above

60. The books of account of every company relating to a period of __________________ immediately preceding a financial year together with the vouchers relevant to any entry in such books of account shall be kept in good order
    a. Not less than seven financial years
    b. Not less than eight financial years
    c. Not less than fifteen financial years
    d. Till its dissolution
    e. None of the above

61. Which section of the Companies Act delas with the Constitution of the National Financial Reporting Authority?
    a. Section 128
    b. Section 129
    c. Section 132
    d. Section 137
    e. Section 139

62. Who shall sign the Annual Return of OPC and Private Companies?

a. Company Secretary
b. Director of the Company
c. By a director and the company secretary
d. Company secretary, or where there is no company secretary, by the director of the company
e. None of the above

63. Every company shall file with the Registrar a copy of the annual return within __________ from the date on which the annual general meeting is held
a. 60 days
b. 90 days
c. 30 days
d. 45 days
e. 15 days

64. A resolution shall be a special resolution when ____________
a. Intention to propose the resolution as a special resolution has been duly specified in the notice calling the general meeting
b. Notice required to be given under the Act has been duly given
c. When the votes cast in favour of the resolution are required to be not less than three times the number of the votes, if any, cast against the resolution by members so entitled and voting
d. All the above
e. Either (a) or (b)

65. Which of the following is correct with respect to a proxy appointed to attend and vote at the meeting of a company by its member?
a. Not have the right to speak at such meeting
b. Not be entitled to vote except on a poll
c. Instrument appointing a proxy shall be in writing
d. All the above
e. Both (a) and (b)

66. What is the requisite quorum for the meeting of a private company?
a. Two members personally present
b. Twenty members personally present
c. Twenty-two personally present
d. Two hundred personally present
e. Such number of members as the Board may decide

67. The first Annual General Meeting of the company shall be held ______________
a. Within three months from the date of closing of the first financial year of the company

b. Within six months from the date of closing of the first financial year of the company
c. Within nine months from the date of closing of the first financial year of the company
d. Within fifteen months from the date of closing of the first financial year of the company
e. Within such time period as the Board may decide

68. If a prospectus has been issued with intent to defraud the applicants for the securities of a company or any other person or for any fraudulent purpose, every person shall be ______________________ for all or any of the losses or damages that may have been incurred by any person who subscribed to the securities on the basis of such prospectus.
    a. Personally responsible
    b. Personally liable, with limitation on liability
    c. Personally responsible, without any limitation of liability
    d. Liability as laid down under section 447
    e. Liable as per the decision of the Tribunal

69. What are the conditions required to be fulfilled to be evidence that an allotment of, or an agreement to allot, securities was made with a view to the securities being offered for sale to the public?
    a. Offer of the securities or of any of them for sale to the public was made within six months after the allotment or agreement to allot
    b. At the date when the offer was made, the whole consideration to be received by the company in respect of the securities had not been received by it
    c. Both (a) and (b)
    d. Either (a) or (b)
    e. None of the above

70. As per section 39 of the Companies Act amount payable on application on every security shall _____________ of the nominal amount of the security or such other percentage or amount, as may be specified by the Securities and Exchange Board by making regulations in this behalf
    a. Not be less than five per cent
    b. Not be less than fifteen per cent
    c. More than thirty-five per cent
    d. More than fifteen per cent
    e. Such per centage as the Central Government may prescribe

71. A company proposing to issue a red herring prospectus shall file it with the Registrar __________________to the opening of the subscription list and the offer
    a. At least three days prior
    b. At least thirteen days prior

c. Not less than thirty days prior
d. Within fifteen days of the issue
e. None of the above

72. A company registered under section 8 of the Companies Act shall not alter the provisions of its memorandum or articles except with the previous approval of _______________
a. Central Government
b. Reserve Bank of India
c. National Company Law Tribunal
d. None of the above
e. Option (a) in consultation with option (b)

73. The Article of a company may be altered by _____________
a. An ordinary resolution
b. A special resolution
c. Board Resolution
d. Approval of Central Government
e. Approval of the Tribunal

74. Who has a right to make an application to Tribunal for relief in cases of oppression, etc.?
a. Company not having a share capital, not less than one-fifth of the total number of its members
b. Company having a share capital, not less than one hundred members of the company or not less than one-tenth of the total number of its members, whichever is less
c. Company having a share capital any member or members holding not less than one tenth of the issued share capital of the company, subject to the condition that the applicant or applicants has or have paid all calls and other sums due on his or their shares
d. Both (a) and (b)
e. Both (a) and (b) or (c)

75. In case of compromise or arrangement is proposed between a company and its creditors or any class of them; or between a company and its members or any class of them the ____________ may, on the application of the company or of any creditor or member of the company, order a meeting of the creditors or class of creditors, or of the members or class of members, as the case may be
a. SEBI
b. Reserve Bank of India
c. Central Government
d. National Company Law Tribunal
e. National Company Law Appellate Tribunal

76. Subject to the provisions of any other law for the time being in force, a foreign company, may with the prior approval of the _____________ merge into a company registered under the Companies Act or vice versa
    a. Reserve Bank of India
    b. Securities and Exchange Board of India
    c. Both the above
    d. Either of the above
    e. Central Government

77. What is the total managerial remuneration payable by a public company, to its directors, including managing director and whole-time director, and its manager?
    a. Not exceed eleven per cent of the gross profits
    b. Not exceed eleven per cent of the net profits
    c. More than eleven per cent of the gross profits
    d. More than twelve percent of the gross profits
    e. Not exceed three per cent of the net profits

78. Which section of the Companies Act delas with the provisions relating to Loans to Directors etc.?
    a. Section 179
    b. Section 180
    c. Section 184
    d. Section 185
    e. Section 192

79. Related Party Transactions means________________
    a. Leasing of property of any kind
    b. Sale, purchase or supply of any goods or materials
    c. Underwriting the subscription of any securities or derivatives thereof, of the company
    d. All the above
    e. Both (a) and (b)

80. The quorum for a meeting of the Board of Directors of a company shall be ______________ and the participation of the directors by video conferencing or by other audio-visual means shall also be counted for the purposes of quorum
    a. One third of its total strength or two directors, whichever is higher
    b. One third of its total strength or two directors, whichever is lower
    c. Two third of its total strength or three directors, whichever is higher
    d. Two third of its total strength or three directors, whichever is lower
    e. Three fourth of its total strength or five directors, whichever is lower
81. What is the time period within which the first meeting of the Board of Directors of a company should be held the date of its incorporation?

a. 7 days
b. 15 days
c. 30 days
d. 60 days
e. 90 days

82. The amount payable on application on every security shall _____________of the security or such other percentage or amount, as may be specified by the Securities and Exchange Board by making regulations in this behalf
a. More than two per cent of the nominal amount
b. More than ten per cent of the nominal amount
c. Not be less than five per cent of the nominal amount
d. Not be less than fifteen per cent of the nominal amount
e. None of the above

83. What are Eligible Companies as per the Companies Act?
a. Companies having turnover of not less than five hundred crore rupees
b. Companies having a net worth of not less than one hundred crore rupees
c. Such class of companies as the Central Government may prescribe
d. Either (a) or (b)
e. Both (a) and (b)

84. Schedule VII of the Companies Act lays down provisions relating to ____________
a. Infrastructure Projects
b. Memorandum and Articles
c. Corporate Social Responsibility
d. Code for Independent Directors
e. Balance Sheet and Statement of Profit & Loss

85. Which section of the Companies Act lays down provisions relating to the maximum number of persons required to form a private company?
a. Section 2 (16)
b. Section 2 (28)
c. Section 2 (46)
d. Section 2 (68)
e. Section 2 (84)

86. Which section of the Companies Act delas with the provisions relating to the formation of a company for any lawful purpose by seven or more persons or two or more persons etc.?
a. Section 2
b. Section 2 (3)
c. Section 2 (12)
d. Section 3 (1)

e. Section 3 (6)

87. Where the dividend in respect of a class of preference shares has not been paid for a period of_________________ or more, such class of preference shareholders shall have a right to vote on ______________________
    a. 2 months, some resolutions placed before the company
    b. 2 years, all the resolutions placed before the company
    c. 6 months, all the resolutions placed before the company
    d. 1 year, those resolutions that have been specifically mentioned
    e. None of the above

88. Every member of a company limited by shares and holding any preference share capital therein shall, in respect of such capital, have a right to vote_______________
    a. All the resolutions placed before the company
    b. Only on resolutions placed before the company which directly affect the rights attached to his preference shares
    c. Any resolution for the winding up of the company or for the repayment or reduction of its equity or preference share capital
    d. All the above
    e. Both (b) & (c)

89. What are the exceptions to the Prohibition on the issue of shares at a discount?
    a. Sweat Equity Shares
    b. Shares issued to the Creditors in pursuance of debt restructuring scheme
    c. Shares issued to the Creditors in pursuance of any statutory resolution plan
    d. All the above
    e. Both (a) and either (b) or (c)

90. The special resolution authorising the issue of sweat equity shares shall be valid for making the allotment within a period of _______________ months from the date of passing of the special resolution?
    a. Not more than thirty days
    b. Not more than sixty days
    c. Not more than twelve months
    d. Not more than thirty-six months
    e. Not more than ninety days

91. What are the exceptions with respect to the Prohibition on acceptance of Deposits from Public as laid down under the Companies Act?
    a. Banking company
    b. Non-Banking Financial Company
    c. Companies Central Government may specify in this behalf
    d. All the above
    e. Both (a) & (c)

92. What is the limit of number of select group of persons who can be identified by the Board for offer of securities or invitation to subscribe securities under Private Placement?
    a. 50
    b. 100
    c. 200
    d. 300
    e. 500

93. The Doctrine which is opposite of the Doctrine of Constructive Notice?
    a. Doctrine of Ultra Vires
    b. Doctrine of Inside Management
    c. Doctrine of Indoor Management
    d. Doctrine of Constructive Management
    e. None of the above

94. What is Abridge Prospectus?
    a. Summary of Prospectus
    b. Enables an issuer to make a series of issues
    c. Memorandum containing salient features of a prospectus
    d. Both (a) & (c)
    e. All (a) to (c)

95. Which of the following is incorrect with respect to the information that are required to be incorporated in the Memorandum of Association of a Company?
    a. The name of the company
    b. The liability of members of the company
    c. Objects for which the company is proposed to be incorporated
    d. The rules and regulations governing the internal management of the company
    e. None of the above

96. Which of the following companies are required to appoint Internal Auditor to conduct internal audit of the functions and activities of the company?
    a. Listed Company
    b. Unlisted Company paid up share capital of fifty crore rupees or more during the preceding financial year
    c. Private company having turnover of two hundred crore rupees or more during the preceding financial year
    d. All the above
    e. Both (a) & (b)

97. In case a company defaults in spending the monies in pursuance of its Corporate Social Responsibility Policy than the company shall be liable_________________

a. For a penalty of one crore rupees
b. For a penalty of twice the amount required to be transferred by the company to the Fund specified in Schedule VII or the Unspent Corporate Social Responsibility Account, as the case may be
c. Both (a) and (b)
d. Either (a) or (b) whichever is less
e. Either (a) or (b) whichever is higher

98. Which section of the Companies Act delas with the provisions of Periodical Financial Statements?
   a. Section 125
   b. Section 126
   c. Section 127
   d. Section 128
   e. Section 129A

99. As per section 408 of the Companies Act the National Company Law Tribunal shall consist of _______________
   a. President
   b. Judicial or Technical members
   c. Judicial and Technical members
   d. Both (a) and (b)
   e. Both (a) & (c)

100. The National Company Law Tribunal shall consist of ____________ as the Central Government may deem necessary
   a. A President and such number of Judicial and Technical members
   b. A President and eleven Judicial and Technical members
   c. A Chairman and such number of Judicial and Technical members
   d. A Chairman and such number of Judicial or Technical members
   e. Such number of members

101. Who can be appointed as the President of the NCLT?
   a. A person who is or has been a judge of the High Court
   b. A person who is or has been a Judge of a High Court for five years
   c. A person who is or has been a Judge of a High Court for ten years
   d. A person who is, or has been, a District Judge for at least five years
   e. None of the above

102. Appeal from the decision of the National Company Law Appellate Tribunal can be made to the_______________
   a. High Court
   b. Supreme Court

c. National Company Law Tribunal
d. Both (a) & (b)
e. All the above

103. Who has the power to establish the Special Courts under the Companies Act?
a. High Court
b. NCLT
c. NCLAT
d. Central Government
e. Companies on their own

104. Special Courts established under section 435 of the Companies Act shall consists of _______________ who shall be appointed by the Central Government with the concurrence of the Chief Justice of the High Court within whose jurisdiction the judge to be appointed is working
a. A single judge holding office as Session Judge or Additional Session Judge, in case of offences punishable under this Act with imprisonment of two years or more
b. A Metropolitan Magistrate or a Judicial Magistrate of the First Class, in the case of other offences
c. Both (a) & (b)
d. Either (a) or (b)
e. A single judge holding office as Session Judge in case of other offences

105. The Mediation and Conciliation Panel shall follow such procedure as may be prescribed and dispose of the matter referred to it within a period of______________ from the date of such reference and forward its recommendations to the Central Government or the Tribunal or the Appellate Tribunal, as the case may be
a. 120 days
b. 3 months
c. 12 months
d. 36 months
e. 48 months

106. Who shall exercise the power of Appeal and Revision relating to any order of the Special Court under the Companies Act?
a. High Court
b. Session Court
c. District Court
d. Supreme Court
e. Both (a) & (d)

107. What are the factor to be taken into consideration for determining the level of punishment while deciding the amount of fine or imprisonment under the Companies Act?
   a. Size of the company
   b. Injury to public interest
   c. Nature of the default
   d. All the above
   e. Both (a) & (c)

108. The Principal Bench of the Tribunal shall be at New Delhi which shall be presided over by the ________________
   a. President of the Tribunal
   b. President of the Appellate Tribunal
   c. Judicial & Technical Members
   d. All the above
   e. Central Government

109. Till when shall the President and every other Member of the Tribunal shall hold office from the date on which he enters upon his office?
   a. 5 years
   b. Till the age of sixty-five years
   c. Till the age of sixty-seven years
   d. At the discretion of the Central Government
   e. Either (a) or (c), whichever is earlier

110. As per the Companies Act where the fraud involves an amount less than ten lakh rupees or one per cent of the turnover of the company, whichever is lower, and does not involve public interest, any person guilty of such fraud shall be punishable with___________
   a. Imprisonment for a term which may extend to five years
   b. Imprisonment for a term which shall not be less than six months but which may extend to ten years
   c. Imprisonment for a term which may extend to five years or with fine which may extend to fifty lakh rupees or with both
   d. Imprisonment for a term which may extend to five years or with fine which may extend to fifty lakh rupees
   e. Imprisonment for a term which may extend to five years & with fine which may extend to fifty lakh rupees or with both

111. As per the Companies Act what is the punishment where no specific penalty or punishment is provided?
   a. Penalty of ten thousand rupees, maximum of two lakh rupees in case of a company

b. Penalty of ten thousand rupees, maximum of fifty thousand rupees in case of an officer who is in default or any other person
c. Penalty of fifteen thousand rupees, maximum of twenty-five thousand in the case of company as well as an officer who is in default or any other person
d. Both (a) & (b)
e. None of the above

112. What is the punishment for improper use of “Limited” or “Private Limited” under the Companies Act?
a. Fine which shall not be less than five hundred rupees but may extend to two thousand rupees for every day for which that name or title has been used
b. Fine which shall not be less than ten thousand rupees but may extend to twelve thousand rupees for every day for which that name or title has been used
c. Imprisonment of five years and a fine of five thousand rupees, or with both
d. Imprisonment of ten years or with fine of fifty thousand rupees, or with both
e. As the Central Government may specify from time to time

113. The Central Government may, after consultation with the__________ remove from office the President, Chairperson or any Member who has been adjudged an insolvent; or has been convicted of an offence which, in the opinion of the Central Government, involves moral turpitude etc.
a. NCLT
b. NCLAT
c. President
d. Chief Justice of India
e. Solicitor General of India

114. Chairperson under the Companies Act means_____________
a. Chairperson of the Tribunal
b. Chairperson of the Special Courts
c. Chairperson of the Appellate Tribunal
d. All the above
e. Either (a) or (c)

115. What is the qualification for appointment as the Chairperson of the Appellate Tribunal under the Companies Act?
a. A Judge of the Supreme Court or the Chief Justice of a High Court
b. A person who is or has been a Judge of a High Court for five years
c. A person who is or has been a Judge of a High Court for ten years
d. A person who is or has been the Judge of the Supreme Court for five years
e. Either (a) or (d)

116. Every application or petition presented before the Tribunal and every appeal filed before the Appellate Tribunal shall be dealt with and disposed of by it as expeditiously

as possible and every endeavour shall be made by the Tribunal or the Appellate Tribunal, as the case may be, for the disposal of such application or petition or appeal within __________from the date of its presentation before the Tribunal or the filing of the appeal before the Appellate Tribunal

a. 60 days
b. 3 months
c. 6 months
d. As early as possible
e. 1 year

117. Which section of the Companies Act delas with the provisions of Power of Central Government to appoint company prosecutors?

a. Section 440
b. Section 441
c. Section 442
d. Section 443
e. Section 444

118. What is the punishment in case of repeated offence as per the Companies Act?

a. Twice the amount of fine for such offence
b. Twice the amount of fine for such offence in addition to any imprisonment provided for that offence
c. Twice the amount of fine for such offence or the imprisonment provided for that offence
d. Thrice the amount of fine for such offence in addition to any imprisonment provided for that offence
e. Ten lakh rupees in addition to the imprisonment provided for that offence

119. Where a company is formed and registered under this Act for a future project or to hold an asset or intellectual property and has no significant accounting transaction, such a company or an inactive company may make an application to the Registrar in such manner as may be prescribed for obtaining the status of_____________________

a. Shell Company
b. Inactive Company
c. Inoperative Company
d. Dormant Company
e. Either of the above

120. The Company Liquidator shall, at such times as may be prescribed __________ during his tenure of office, present to the Tribunal an account of the receipts and payments as such liquidator in the prescribed form in duplicate, which shall be verified by a declaration in such form and manner as may be prescribed

a. But not less than six months
b. But not less than once in each year

c. But not less than twice in each year during the tenure of his office
d. But not less than such time period as the Tribunal may prescribe
e. But not less than such time period as the Central Government may prescribe

121. According to section 293 of the Companies Act who is granted the authority to inspect the books maintained by the Company Liquidator during the winding-up process?
a. Only the shareholders can inspect the books, under the control of the Registrar of Companies
b. Only the government authorities have the right to inspect the books, under the under the control of the Tribunal
c. Any creditor or contributory may inspect the books, under the control of the Tribunal
d. Only the advisory committee can inspect the books, under the under the control of Tribunal
e. Only the auditors appointed by the Registrar of Companies can inspect the books, under the control of the Company Liquidator

122. As per the provisions of the Companies Act what is the responsibility of the Company Liquidator in terms of record-keeping and minutes of meetings during the winding-up process?
a. The Company Liquidator must have the details of the winding-up process
b. The Company Liquidator is not required to maintain any records during the winding-up process
c. The Company Liquidator must maintain proper books according to the law, but keeping minutes of meetings is not necessary
d. The Company Liquidator must keep proper books, recording proceedings at meetings and other matters as prescribed
e. The Company Liquidator should only keep records if requested by the advisory committee

123. At any time either before or after passing a winding up order, where the Tribunal suspects that a contributory or a person in possession of the company's property, accounts, or papers may attempt to evade calls or avoid examination, the Tribunal may__________________

a. The Tribunal can ask the advisory committee to intervene
b. The Tribunal may detain the contributory or person until further orders
c. The Tribunal can immediately seize his books and papers and movable property until such time as the Tribunal may order
d. The Tribunal can recommend that the person be banned from leaving the country
e. Both b & c

124. The Tribunal shall, within a period of thirty days from the date of the order of the dissolution of the company, as per the provisions of the Companies Act, _______________
a. Forward a copy of the order to the Registrar who shall record in the register relating to the company a minute of the dissolution of the company

b. Direct the Company Liquidator to forward a copy of the order to the Registrar who shall record in the register relating to the company a minute of the dissolution of the company
c. The Tribunal informs the Central Government of the dissolution, and the Company Liquidator updates the company's website
d. All a b & c
e. Both a & b

125. In what situations does the Tribunal make an order for the dissolution of a company, and how is the dissolution date determined as per the provisions of the Companies Act?
a. The Tribunal dissolves a company if requested by the Company Liquidator, but the dissolution date is determined by the shareholders
b. The Tribunal dissolves a company if it is of the opinion that dissolution is just and reasonable, and the dissolution date is set by the Tribunal's discretion
c. The Tribunal dissolves a company only if the creditors demand it, and the dissolution date is determined by the creditors
d. The Tribunal dissolves a company upon the request of the advisory committee, and the dissolution date is set by the advisory committee
e. The Tribunal dissolves a company upon application by the Company Liquidator or when it deems it just, and the company is dissolved from the date of the Tribunal's order

126. According to the Companies Act what step does the Company Liquidator take once the affairs of a company have been fully wound up?
a. The Company Liquidator submits a report to the government for approval
b. The Company Liquidator makes an application to the shareholders for dissolution
c. The Company Liquidator applies to the creditors for dissolution
d. The Company Liquidator makes an application to the Tribunal for the dissolution of the company
e. The Company Liquidator makes an application to the advisory committee for dissolution

127. As per the Companies Act what recourse does a person has if they are dissatisfied with an act or decision of the Company Liquidator as provided under section 292 of the Act?
a. The creditors can modify the decisions
b. The advisory committee can reverse or modify acts or decisions
c. The shareholders have the authority to confirm or reverse the acts or decisions
d. The Tribunal has the authority to confirm, reverse, or modify the act or decision
e. The Central Government can intervene and reverse any decisions made by the Company Liquidator

128. The Company Liquidator may summon meetings of the creditors or contributories, whenever he thinks fit, for the purpose of ascertaining their wishes; and shall summon such meetings at such times, as the creditors or contributories, as the case may be, may, by resolution, direct, or whenever requested in writing to do so ____________________
a. But solely at its discretion
b. Only when requested by the advisory committee

c. By not less than one-tenth in value of the creditors or contributories, as the case may be
d. By not more than one-tenth in value of the creditors or contributories, as the case may be
e. By not less than one-twelve and not more than one-tenth in value of the creditors or contributories, as the case may be

129. As per section 292 of the Companies Act in situations of conflicting directions, whose instructions hold precedence: the creditors and contributories from a general meeting or the advisory committee?
a. The Tribunal's directions are always followed
b. The Company Liquidator's directions are followed
c. The Central Government's directions take precedence
d. The advisory committee's directions are always prioritized
e. The instructions of the creditors or contributories take precedence over the advisory committee's directions

130. Under the Companies Act the Company Liquidator shall, in the administration of the assets of the company and the distribution thereof among its creditors, have regard to any directions which may be given by _____________
a. The resolution of the creditors or contributories at any general meeting or by the Tribunal
b. The resolution of the creditors or contributories at any general meeting or by the advisory committee
c. The resolution of the creditors or contributories at any general meeting or by the Central Government
d. Company Liquidator can decide independently without any external directions
e. Either a or b or c

131. What are the consequences if a company fails to file the statement of affairs as required under section 274(1) of the Companies Act?
a. The company will receive a warning from the RoC
b. The company will be allowed extra time to file the statement
c. The company's directors and officers will be imprisoned for their non-compliance
d. The company shall forfeit the right to oppose the petition, and responsible directors and officers shall be liable for punishment
e. The company will be required to pay a fine but can continue opposing the petition

132. What is the requirement for the directors and officers of a company when an order for winding up is passed by the Tribunal as per the provisions of the Companies Act?
a. They must submit a business plan to the Tribunal
b. They must immediately vacate their positions
c. They must provide financial assistance to the liquidator
d. They must submit the completed and audited books of account to the liquidator within thirty days of the winding-up order

e. They must submit the completed and audited books of account to the Registrar within thirty days of the winding-up order

133. What happens if any director or officer of the company contravenes the provisions of section 274 of the Companies Act?
a. They will be given a warning
b. They will be suspended from their position
c. They will be fined and penalized for that
d. They shall be imprisoned for a term which may extend to six months or with fine which shall not be less than twenty-five thousand rupees, and with both
e. They shall be imprisoned for a term which may extend to six months or with fine which shall not be less than twenty-five thousand rupees but which may extend to five lakh rupees, or with both

134. Under section 274 of the Companies Act Who is allowed to file a complaint with the Special Court in the matter related thereto?
a. Registrar
b. Creditor of the company
c. Provisional liquidator, Company Liquidator, or any person authorized by the Tribunal
d. All a b & c
e. Both a & c

135. According to the Companies Act when a company is being wound up by the Tribunal, what action does the Tribunal take regarding the appointment of a Company Liquidator?
a. The company itself appoints a Company Liquidator
b. The Tribunal does not appoint a Company Liquidator
c. The Tribunal appoints an Official Liquidator or a Company Liquidator from a maintained panel
d. The Tribunal appoints an Official Liquidator, who then appoints a Company Liquidator
e. None of the above

136. Who can be appointed as a provisional liquidator or a Company Liquidator for a company under winding up by the Tribunal as per the Companies Act?
a. Any Central Government official
b. Any employee of the company
c. Any person with a financial background
d. Any person registered as an insolvency professional under the IBC, 2016
e. Either a or d

137. When appointed as a provisional liquidator or Company Liquidator, what is the requirement for the liquidator relating to potential conflicts of interest or lack of independence as provided under section 275 of the Companies Act?

a. The liquidator must resign immediately
b. The liquidator must report to the company's shareholders
c. The liquidator must report to the Tribunal only if requested to do so
d. The liquidator must file a declaration within seven days of appointment, disclosing any conflict of interest or lack of independence, and this obligation continues throughout their appointment
e. The liquidator must file a declaration within the days as may be specified in this behalf by the Tribunal, disclosing any conflict of interest or lack of independence, and this obligation continues throughout their appointment

138. Under what circumstances can the Tribunal remove the provisional liquidator or the Company Liquidator from their role as the liquidator of a company as per the Companies Act provisions?
a. In case of well-regulated, fraud or misfeasance
b. In case of professional incompetence or failure to exercise due care and diligence in performance of the powers and functions
c. In case of conflict of interest or lack of independence during the term of his appointment that would justify removal
d. Either b or c
e. Either a or b or c

139. According to the Companies Act in situations involving the death, resignation, or removal of the Provisional Liquidator or Company Liquidator, what action can the Tribunal take regarding their duties?
a. The Tribunal has no authority to make any changes
b. The Tribunal must pause the work until a replacement is found
c. The Tribunal can only transfer the work to the Registrar for reasons to be recorded in writing
d. The Tribunal may transfer the work to another Company Liquidator for reasons to be recorded in writing
e. Either c or d

140. What action can the Tribunal take if it believes that a liquidator is responsible for causing harm to a company due to fraud, misfeasance, or negligence in performing their duties as provided under the Companies Act?
a. The Tribunal cannot take any action against the liquidator
b. The Tribunal can only issue a warning to the liquidator
c. The Tribunal can only request an investigation into the matter
d. The Tribunal may recover or cause to be recovered such loss or damage from the liquidator and pass such other orders as it may think fit
e. Either b or c or d

Ans. d. The Tribunal may recover or cause to be recovered such loss or damage from the liquidator and pass such other orders as it may think fit, Explanation: Section 276. Removal and replacement of liquidator: (3) Where the Tribunal is of the opinion that any liquidator is responsible for causing any loss or damage to the company due to fraud or misfeasance or failure to exercise due care and diligence in the performance of his or its powers and functions, the Tribunal may recover or cause to be recovered such loss or damage from the liquidator and pass such other orders as it may think fit.

141. What is the time frame within which the Tribunal shall send intimation to the relevant parties after making an order for the appointment of a provisional liquidator or the winding up of a company under section 277 of the Companies Act?
   a. Within 24 hours from the time of passing of the order
   b. Not exceeding three days from the date of passing of the order
   c. Not exceeding seven days from the date of passing of the order
   d. Not exceeding fourteen days from the date of passing of the order
   e. Not exceeding twenty-one days from the date of passing of the order

142. Who shall receive the intimation when the Tribunal makes an order for the appointment of a provisional liquidator or for the winding up of a company as provided under as provided under the Companies Act?
   a. The Company Liquidator
   b. The auditors of the company
   c. The employees of the company
   d. The Company Secretary of the company
   e. The Company Liquidator or provisional liquidator, as well as the Registrar

143. According to the Companies Act what is the effect of a winding-up order, given by the Tribunal, on the officers, employees, and workmen of a company, except when the business of the company is continued as laid down under section 277?
   a. They are automatically discharged from their roles
   b. They are required to leave their positions immediately
   c. They are granted a leave of absence until further notice
   d. All a b & c
   e. None of the above

144. Within what timeframe must the Company Liquidator make an application to the Tribunal for the constitution of a winding up committee to aid and oversee the liquidation proceedings under the Companies Act?
   a. Within one week
   b. Within two weeks
   c. Within three weeks
   d. Within four weeks
   e. Within five weeks

145. What is the composition of the winding up committee formed under section 277 of the Companies Act to assist and monitor the progress of liquidation proceedings?
   a. Employees nominated by the Company Liquidator
   b. Only representatives from the shareholders of the company

c. Company directors or professionals nominated by the Tribunal
d. Official Liquidator and a professional nominated by the Tribunal
e. Official Liquidator, nominee of secured creditors, and a professional nominated by the Tribunal

146. As per section 277 of the Companies Act in which areas of liquidation functions does the winding up committee, convened by the Company Liquidator, provide assistance and monitoring?
a. Monitoring the company's ongoing business operations
b. Handling only the sale of assets and payment of dividends
c. Only overseeing the Company Liquidator's administrative tasks
d. Focusing solely on legal proceedings related to the liquidation process
e. Assisting in various aspects such as asset takeover, examination of statements, recovery of property, audit review, creditor list finalization, claim settlements, dividend payments, and other functions as directed by the Tribunal

147. Under the Companies Act how often does the Company Liquidator need to present a report, along with meeting minutes, to the Tribunal regarding the winding up committee's activities until the final report for company dissolution is submitted?
a. Monthly
b. Once a year
c. Every six months
d. Once every three months
e. Only when requested by the Tribunal

148. Who is responsible for preparing the draft final report for consideration and approval by the winding up committee as per the Companies Act?
a. The Company Liquidator
b. The employees of the company
c. The secured creditors of the company
d. The shareholders of the company in liquidation
e. The Tribunal Judge overseeing the liquidation process

149. According to the provisions of the Companies Act after being approved by the winding up committee, where does the Company Liquidator submit the final report for the passing of a dissolution order in relation to the company?
a. To the Ministry of Corporate Affairs
b. To the secured creditors for review
c. To the National Company Law Tribunal
d. To the company's shareholders for approval
e. To the Insolvency and Bankruptcy Board of India

150. According to the Companies Act the report submitted by the Company Liquidator must encompass various aspects, including details about the company's________________ and matters deemed noteworthy for the Tribunal's awareness

a. Promotion or formation, potential instances of fraud
b. The report should focus solely on the company's recent financial transactions
c. The report should emphasize the company's operational successes since its formation
d. The report should outline the liquidator's personal opinions about the company's financial prospects
e. None of the above

ANSWER KEYS

1. Ans. a. One person company,
   One person company is a new concept which was introduced by the Companies Act, 2013. It has been defined under section 2(62) of the said Act as a company which has only one person as a member.

2. Ans. c. Not exceed rupees four crores and rupees forty crores,
   Companies (Specification of definitions details) Rules, 2014: Rule 2(1)(t) For the purposes of sub-clause (i) and sub-clause (ii) of clause (85) of section 2 of the Act, paid up capital and turnover of the small company shall not exceed rupees four crore and rupees forty crore respectively.

3. Ans. d. 15 and Special Resolution,
   Section 149. Company to have Board of Directors- (1) Every company shall have a Board of Directors consisting of individuals as directors and shall have— (a) a minimum number of three directors in the case of a public company, two directors in the case of a private company, and one director in the case of a One Person Company; and (b) a maximum of fifteen directors: Provided that a company may appoint more than fifteen directors after passing a special resolution.

4. Ans. e. Seven,
   The Companies Act, 2013 consists of Seven Schedule as under:

Schedule I	Memorandum and Articles (Section 4 and 5)
Schedule II	Depreciation (Section 123)
Schedule III	Balance Sheet and Statement of Profit & Loss (Section 129)
Schedule IV	Code for Independent Directors (Section 149(8))
Schedule V	Appointment of managing director, whole-time director or manager (Section 196 and 197)
Schedule VI	Infrastructure Projects (Section 55 and 186)
Schedule VII	Corporate Social Responsibility (Section 135)

5. Ans. c. Bonus Shares,
   Bonus shares are additional shares a company gives to its existing shareholders without any additional cost or free of cost, based upon the number of shares that a shareholder owns.

6. Ans. d. Limited to the amount unpaid, if any, on the shares held by them,
   Section 4. Memorandum: (1)(d)(i) in the case of a company limited by shares, that liability of its members is limited to the amount unpaid, if any, on the shares held by them.

7. Ans. c Special Resolution,
   Section 27. Variation in terms of contract or objects in prospectus: (1) A company shall not, at any time, vary the terms of a contract referred to in the prospectus or objects for which the prospectus was issued, except subject to the approval of, or except subject to an authority given by the company in general meeting by way of special resolution.

8. Ans. c. More than ninety days after the date on which a copy is delivered to the Registrar for filing,
   Section 26. Matters to be stated in prospectus: (8) No prospectus shall be valid if it is issued more than ninety days after the date on which a copy thereof is delivered to the Registrar.

9. Ans. b. No minimum paid-up capital requirement,
   Section 2(71) public company: "public company" means a company which—(a) is not a private company and; (b) has a minimum paid-up share capital as may be prescribed. Since there is no prescribed amount therefore there is no minimum paid-up capital requirement.

10. Ans. a. Void,
    Section 53. Prohibition on issue of shares at discount: (2) Any share issued by a company at a discount shall be void.

11. Ans. a. Bonus issue,
    Section 23 Public offer and private placement: (2) A private company may issue securities— (a) by way of rights issue or bonus issue in accordance with the provisions of this Act; or (b) through private placement by complying with the provisions of Part II of this Chapter.

12. Ans. c. Shall not be deemed to be an alteration of the memorandum,
    Section 3. Formation of company: (1) Provided also that any such change in the name of the person shall not be deemed to be an alteration of the memorandum.

13. Ans. c. If the number of members of a company is reduced below the required number and the company carries on business for more than six months while the number of members is so reduced,
    Sec. 3A Members severally liable in certain cases: If at any time the number of members of a company is reduced, in the case of a public company, below seven, in the case of a private company, below two, and the company carries on business for more than six months while the number of members is so reduced, every person who is a member of

the company during the time that it so carries on business after those six months and is cognizant of the fact that it is carrying on business with less than seven members or two members, as the case may be, shall be severally liable for the payment of the whole debts of the company contracted during that time, and may be severally sued therefor.

14. Ans. a. A distinct identity for the company and which shall also be included in the certificate of incorporation,
    Section 7. Incorporation of company: (3) On and from the date mentioned in the certificate of incorporation issued, the Registrar shall allot to the company a corporate identity number, which shall be a distinct identity for the company and which shall also be included in the certificate.

15. Ans. d. Either a or c,
    Section 2(20) company: company means a company incorporated under this Act or under any previous company law.

16. Ans. d. All a or b a & c,
    Section 2(70) prospectus: "prospectus" means any document described or issued as a prospectus and includes a red herring prospectus referred to in section 32 or shelf prospectus referred to in section 31 or any notice, circular, advertisement or other document inviting offers from the public for the subscription or purchase of any securities of a body corporate.

17. Ans. c. Minimum seven members,
    Section 3. Formation of company: (1) A Company may be formed for any lawful purpose by— (a) seven or more persons, where the company to be formed is to be a public company; (b) two or more persons, where the company to be formed is to be a private company; or (c) One Person, where the company to be formed is to be One Person Company that is to say, a private company, by subscribing their names or his name to a memorandum and complying with the requirements of this Act in respect of registration.

18. Ans. c. 29th August, 2013,
    The Companies Act, 2013 passed by the Parliament has received the assent of the President of India on 29th August, 2013

19. Ans. d. All a, b & c,
    Section 32. Red herring prospectus: (1) A company proposing to make an offer of securities may issue a red herring prospectus prior to the issue of a prospectus; (2) A company proposing to issue a red herring prospectus under sub-section (1) shall file it with the Registrar at least three days prior to the opening of the subscription list and the offer; (3) A red herring prospectus shall carry the same obligations as are applicable to a prospectus and any variation between the red herring prospectus and a prospectus shall be highlighted as variations in the prospectus.

20. Ans. b. Section 25,
    Section 25.Document containing offer of securities for sale to be deemed prospectus: (1) Where a company allots or agrees to allot any securities of the company with a view to all or any of those securities being offered for sale to the public, any document by which the offer for sale to the public is made shall, for all purposes, be deemed to be a prospectus issued by the company; and all enactments and rules of law as to the contents of prospectus and as to liability in respect of mis-statements, in and omissions from, prospectus, or otherwise relating to prospectus, shall apply with the modifications specified in sub-sections (3) and (4) and shall have effect accordingly, as if the securities had been offered to the public for subscription and as if persons accepting the offer in respect of any securities were subscribers for those securities, but without prejudice to the liability, if any, of the persons by whom the offer is made in respect of mis-statements contained in the document or otherwise in respect thereof.

21. Ans. b. He has not given the company a notice in writing of his unwillingness to be re-appointed,
    Section 139.Appointment of auditors: (9) Subject to the provisions of sub-section (1) and the rules made thereunder, a retiring auditor may be re-appointed at an annual general meeting, if— (a) he is not disqualified for re-appointment; (b) he has not given the company a notice in writing of his unwillingness to be re-appointed; and (c) a special resolution has not been passed at that meeting appointing some other auditor or providing expressly that he shall not be re-appointed.

22. Ans. c. Board of Directors,
    Section 139.Appointment of auditors: (6) Notwithstanding anything contained in sub-section (1), the first auditor of a company, other than a Government company, shall be appointed by the Board of Directors within thirty days from the date of registration of the company and in the case of failure of the Board to appoint such auditor, it shall inform the members of the company, who shall within ninety days at an extraordinary general meeting appoint such auditor and such auditor shall hold office till the conclusion of the first annual general meeting.

23. Ans. a. Board,
    Section 142. Remuneration of auditors: (1) The remuneration of the auditor of a company shall be fixed in its general meeting or in such manner as may be determined therein. Provided that the Board may fix remuneration of the first auditor appointed by it.

24. Ans. c. Chartered accountant in practice,
    Section 141.Eligibility, qualifications and disqualifications of auditors: (1) A person shall be eligible for appointment as an auditor of a company only if he is a chartered accountant in practice.

25. Ans. c. One hundred and eighty days,
Section 139.Appointment of auditors: (5) Notwithstanding anything contained in sub-section (1), in the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, the Comptroller and Auditor-General of India shall, in respect of a financial year, appoint an auditor duly qualified to be appointed as an auditor of companies under this Act, within a period of one hundred and eighty days from the commencement of the financial year, who shall hold office till the conclusion of the annual general meeting.

26. Ans. e. Section 29,
Section 29 Public offer of securities to be in dematerialised form- (1) Notwithstanding anything contained in any other provisions of this Act: (a) every company making public offer; and (b) such other class or classes of companies as may be prescribed, shall issue the securities only in dematerialised form by complying with the provisions of the Depositories Act, 1996 (22 of 1996) and the regulations made thereunder.

27. Ans. b. After passing a special resolution in its general meeting,
Section 41 Global depository receipt- A company may, after passing a special resolution in its general meeting, issue depository receipts in any foreign country in such manner, and subject to such conditions, as may be prescribed
Depository Receipts means a foreign currency denominated instrument listed on an international exchange issued by a foreign depository in a permissible jurisdiction on the back of permissible securities issued or transferred to a domestic custodian.

28. Ans. d. All the above,
Section 132. Constitution of National Financial Reporting Authority: (2) Notwithstanding anything contained in any other law for the time being in force, the National Financial Reporting Authority shall— (a) make recommendations to the Central Government on the formulation and laying down of accounting and auditing policies and standards for adoption by companies or class of companies or their auditors, as the case may be; (b) monitor and enforce the compliance with accounting standards and in such manner as may be prescribed; (c) oversee the quality of service of the professions associated with ensuring compliance with such standards, and suggest measures required for improvement in quality of service and such other related matters as may be prescribed; and (d) perform such other functions relating to clauses (a), (b) and (c) as may be prescribed.

29. Ans. b. Thirty days,
Section 137. Copy of financial statement to be filed with Registrar: (1) A copy of the financial statement, including consolidated financial statement, if any, along with all

the documents which are required to be or attached to such financial statements under this Act, duly adopted at the annual general meeting of the company, shall be filed with the Registrar within thirty days of the date of annual general meeting in such manner, with such fees or additional fees as may be prescribed.

30. Ans. a. One,
Section 149. Company to have Board of Directors: (1) Every company shall have a Board of Directors consisting of individuals as directors and shall have— (a) a minimum number of three directors in a public company, two directors in a private company, and one director in a One Person Company; and (b) a maximum of fifteen directors, company may appoint more than fifteen directors after passing a special resolution: class or classes of companies as may be prescribed, shall have at least one-woman director.

31. Ans. a. Not exceed ten,
Section 165. Number of directorships- (1) No person, after the commencement of this Act, shall hold office as a director, including any alternate directorship, in more than twenty companies at the same time: Provided that the maximum number of public companies in which a person can be appointed as a director shall not exceed ten.

32. Ans. b. Within fifteen days,
Section 157. Company to inform Director Identification Number to Registrar- (1) Every company shall, within fifteen days of the receipt of intimation under section 156, furnish the Director Identification Number of all its directors to the Registrar or any other officer or authority as may be specified by the Central Government with such fees as may be prescribed or with such additional fees as may be prescribed and every such intimation shall be furnished in such form and manner as may be prescribed.

33. Ans. c. Either (a) or (b) whichever is earlier,
Section 161. Appointment of additional director, alternate director and nominee director: (1) The articles of a company may confer on its Board of Directors the power to appoint any person, other than a person who fails to get appointed as a director in a general meeting, as an additional director at any time who shall hold office up to the date of the next annual general meeting or the last date on which the annual general meeting should have been held, whichever is earlier.

34. Ans. c. Within one month,
Section 154. Allotment of Director Identification Number- The Central Government shall, within one month from the receipt of the application under section 153, allot a

Director Identification Number to an applicant in such manner as may be prescribed

35. Ans. b. Listed Company,
    Section 151. Appointment of director elected by small shareholders- A listed company may have one director elected by such small shareholders in such manner and with such terms and conditions as may be prescribed.

36. Ans. d. All the above,
    Section 203. Appointment of key managerial personnel- (1) Every company belonging to such class or classes of companies as may be prescribed shall have the following whole-time key managerial personnel— (i) managing director, or Chief Executive Officer or manager and in their absence, a whole-time director; (ii) Company Secretary; and (iii) Chief Financial Officer.

37. Ans. A term exceeding five years at a time,
    Section 196. Appointment of managing director, whole-time director or manager- (2) No company shall appoint or re-appoint any person as its managing director, whole-time director or manager for a term exceeding five years at a time: Provided that no re-appointment shall be made earlier than one year before the expiry of his term.

38. Ans. d. Minimum of three directors with independent directors forming a majority,
    Section 177. Audit Committee - (2) The Audit Committee shall consist of a minimum of three directors with independent directors forming a majority: Provided that majority of members of Audit Committee including its Chairperson shall be persons with ability to read and understand, the financial statement.

39. Ans. a Nominal Capital,
    Section 2(8) authorised capital- “authorised capital” or “nominal capital” means such capital as is authorised by the memorandum of a company to be the maximum amount of share capital of the company.

40. Ans. d. Both (a) & (c),
    Section185. Loan to directors, etc,- (2) A company may advance any loan including any loan represented by a book debt, or give any guarantee or provide any security in connection with any loan taken by any person in whom any of the director of the company is interested, subject to the condition that— (a) a special resolution is passed by the company in general meeting: Provided that the explanatory statement to the notice for the relevant general meeting shall disclose the full particulars of the loans given, or guarantee given or security provided and the purpose for which the loan or guarantee or security is proposed to be utilised by the recipient of the loan or guarantee or security and any other relevant fact; and (b) the loans are utilised by the borrowing company for its principal business activities.

41. Ans. b Irredeemable,
Section 55 Issue and redemption of preference shares- (1) No company limited by shares shall, after the commencement of this Act, issue any preference shares which are irredeemable.

42. Ans. d. Schedule VI,
Section 55 Issue and redemption of preference shares- Explanation: For the purposes of sub-section (2), the term “infrastructure projects” means the infrastructure projects specified in Schedule VI.

43. Ans. b. Tribunal,
Section 66 Reduction of share capital- (1) Subject to confirmation by the Tribunal on an application by the company, a company limited by shares or limited by guarantee and having a share capital may, by a special resolution, reduce the share capital in any manner and in, particular, may— (a) extinguish or reduce the liability on any of its shares in respect of the share capital not paid-up; or (b) either with or without extinguishing or reducing liability on any of its shares,— (i) cancel any paid-up share capital which is lost or is unrepresented by available assets; or (ii) pay off any paid-up share capital which is in excess of the wants of the company, alter its memorandum by reducing the amount of its share capital and of its shares accordingly: Provided that no such reduction shall be made if the company is in arrears in the repayment of any deposit accepted by it, either before or after the commencement of this Act, or the interest payable thereon.

44. Ans. c. Section 51,
Section 51 Payment of dividend in proportion to amount paid-up- A company may, if so, authorised by its articles, pay dividend in proportion to the amount paid- up on each share.

45. Ans. e. Both (b) & (c),
Section 9 Effect of registration- From the date of incorporation mentioned in the certificate of incorporation, such subscribers to the memorandum and all other persons, as may, from time to time, become members of the company, shall be a body corporate by the name contained in the memorandum, capable of exercising all the functions of an incorporated company under this Act and having perpetual succession power to acquire, hold and dispose of property, both movable and immovable, tangible and intangible, to contract and to sue and be sued, by the said name.

46. Ans. c. Section 18,

Section 18 Conversion of companies already registered: (1) A company of any class registered under this Act may convert itself as a company of other class under this Act by alteration of memorandum and articles of the company in accordance with the provisions of this Chapter.

47. Ans. c. Either of the above,
Section 40 Securities to be dealt with in stock exchanges - (3) All monies received on application from the public for subscription to the securities shall be kept in a separate bank account in a scheduled bank and shall not be utilised for any purpose other than— (a) for adjustment against allotment of securities where the securities have been permitted to be dealt with in the stock exchange or stock exchanges specified in the prospectus; or (b) for the repayment of monies within the time specified by the Securities and Exchange Board , received from applicants in pursuance of the prospectus, where the company is for any other reason unable to allot securities.

48. Ans. d. All the above,
Section 125.Investor Education and Protection Fund- (2) There shall be credited to the Fund— (a) the amount given by the Central Government by way of grants after due appropriation made by Parliament by law in this behalf for being utilised for the purposes of the Fund; (b) donations given to the Fund by the Central Government, State Governments, companies or any other institution for the purposes of the Fund; (c) the amount in the Unpaid Dividend Account of companies transferred to the Fund under sub-section (5) of section 124; (d) the amount in the general revenue account of the Central Government which had been transferred to that account under sub-section (5) of section 205A of the Companies Act, 1956, as it stood immediately before the commencement of the Companies (Amendment) Act, 1999, and remaining unpaid or unclaimed on the commencement of this Act; (e) the amount lying in the Investor Education and Protection Fund under section 205C of the Companies Act, 1956; (f) the interest or other income received out of investments made from the Fund; (g) the amount received under sub-section (4) of section 38; (h) the application money received by companies for allotment of any securities and due for refund; (i) matured deposits with companies other than banking companies; (j) matured debenture with companies; (k) interest accrued on the amounts referred to in clauses (h) to (j); (l) sale proceeds of fractional shares arising out of issuance of bonus shares, merger and amalgamation for seven or more years; (m) redemption amount of preference shares remaining unpaid or unclaimed for seven or more years; and (n) such other amount as may be prescribed: Provided that no such amount referred to in clauses (h) to (j) shall form part of the Fund unless such amount has remained unclaimed and unpaid for a period of seven years from the date it became due for payment.

49. Ans. c. Six months,
Section 203 Appointment of key managerial personnel- (4) If the office of any whole-time key managerial personnel is vacated, the resulting vacancy shall be filled-up by

the Board at a meeting of the Board within a period of six months from the date of such vacancy.

50. Ans. e. All the above,
Section 1(4) The provisions of this Act shall apply to— (a) companies incorporated under this Act or under any previous company law ; (b) insurance companies, except in so far as the said provisions are inconsistent with the provisions of the Insurance Act, 1938 or the Insurance Regulatory and Development Authority Act, 1999; (c) banking companies, except in so far as the said provisions are inconsistent with the provisions of the Banking Regulation Act, 1949; (d) companies engaged in the generation or supply of electricity, except in so far as the said provisions are inconsistent with the provisions of the Electricity Act, 2003; (e) any other company governed by any special Act for the time being in force, except in so far as the said provisions are inconsistent with the provisions of such special Act; and (f) such body corporate, incorporated by any Act for the time being in force, as the Central Government may, by notification, specify in this behalf, subject to such exceptions, modifications or adaptation, as may be specified in the notification.

51. Ans. e. Both (a) & (c),
Section 23 Public Offer & Private Placement- (1) **A public company** may issue securities — (a) to public through prospectus (herein referred to as "public offer") by complying with the provisions of this Part; or (b) through private placement by complying with the provisions of Part II of this Chapter; or (c) through a rights issue or a bonus issue in accordance with the provisions of this Act and in case of a listed company or a company which intends to get its securities listed also with the provisions of the SEBI Act, 1992 and the rules and regulations made thereunder, (2) A **private company** may issue securities— (a) by way of rights issue or bonus issue in accordance with the provisions of this Act; or (b) through private placement by complying with the provisions of Part II of this Chapter, **(Chapter III: Part I-Public Offer, Part II -Private Placement).**

52. Ans. d. Both (a) & (b),
Section 31 Shelf prospectus- (1) Any class or classes of companies, as the Securities and Exchange Board may provide by regulations in this behalf, may file a shelf prospectus with the Registrar at the stage of the first offer of securities included therein which shall indicate a period not exceeding one year as the period of validity of such prospectus which shall commence from the date of opening of the first offer of securities under that prospectus, and in respect of a second or subsequent offer of such securities issued during the period of validity of that prospectus, no further prospectus is required, (2) A company filing a shelf prospectus shall be required to file an information memorandum containing all material facts relating to new charges created, changes in the financial position of the company as have occurred between

the first offer of securities or the previous offer of securities and the succeeding offer of securities and such other changes as may be prescribed, with the Registrar within the prescribed time, prior to the issue of a second or subsequent offer of securities under the shelf prospectus.

53. Ans. b. After obtaining the previous approval of the Central Government in that behalf in the prescribed manner,
Section 140 Removal, resignation of auditor and giving special notice- (1) The auditor appointed under section 139 may be removed from his office before the expiry of his term only by a special resolution of the company , after obtaining the previous approval of the Central Government in that behalf in the prescribed manner [Companies (Audit & Auditors) Rules,2014 (2) The application shall be made to the Central Government within thirty days of the resolution passed by the Board; (3) The company shall hold the general meeting within sixty days of receipt of approval of the Central Government for passing the special resolution)].

54. Ans. c. Not exceeding twenty years from the date of their issue,
Section 55.Issue and redemption of preference shares- (2) A company limited by shares may, if so authorised by its articles , issue preference shares which are liable to be redeemed within a period not exceeding twenty years from the date of their issue subject to such conditions as may be prescribed: Provided that a company may issue preference shares for a period exceeding twenty years for infrastructure projects, subject to the redemption of such percentage of shares as may be prescribed: on an annual basis at the option of such preferential shareholders- Companies (Share Capital and Debentures) Rules, 2014: A company engaged in the setting up and dealing with infrastructural projects may issue preference shares for a period exceeding twenty years but not exceeding thirty years, subject to the redemption of a minimum ten percent of such preference shares per year from the twenty first year onwards or earlier, on proportionate basis, at the option of the preference shareholders.

55. Ans. a. Payment of dividend,
Section 52.Application of premiums received on issue of shares (2) Notwithstanding anything contained in sub-section (1), the securities premium account may be applied by the company— (a) towards the issue of unissued shares of the company to the members of the company as fully paid bonus shares; (b) in writing off the preliminary expenses of the company; (c) in writing off the expenses of, or the commission paid or discount allowed on, any issue of shares or debenture of the company; (d) in providing for the premium payable on the redemption of any redeemable preference shares or of any debentures of the company; or (e) for the purchase of its own shares or other securities under section 68.

56. Ans. e. Both (b) & (c),
Section 71 Debentures- (1) A company may issue debenture with an option to convert such debentures into shares, either wholly or partly at the time of redemption Provided that the issue of debentures with an option to convert such debentures into shares, wholly or partly, shall be approved by a special resolution passed at a general meeting, (2) No company shall issue any debentures carrying any voting rights, (3) Secured debentures may be issued by a company subject to such terms and conditions as may be prescribed.

57. Ans. b. To Investor Education and Protection Fund,
Section 124 Unpaid Dividend Account- (6) All shares in respect of which dividend has not been paid or claimed for seven consecutive years or more shall be transferred by the company in the name of Investor Education and Protection Fund along with a statement containing such details as may be prescribed.

58. Ans. a. Within 5 days,
Section 123.Declaration of dividend- (4) The amount of the dividend, including interim dividend, shall be deposited in a scheduled bank in a separate account within five days from the date of declaration of such dividend.

59. Ans. e. All the above,
Section 68 Power of company to purchase its own securities- (1) Notwithstanding anything contained in this Act, but subject to the provisions of sub-section (2), a company may purchase its own shares or other specified securities (hereinafter referred to as buy-back) out of— a) its free reserves ; (b) the securities premium account; or (c) the proceeds of the issue of any shares or other specified securities: Provided that no buy-back of any kind of shares or other specified securities shall be made out of the proceeds of an earlier issue of the same kind of shares or same kind of other specified securities; (2) No company shall purchase its own shares or other specified securities under sub-section (1), unless— (a) the buy-back is authorised by its articles; (b) a special resolution has been passed at a general meeting of the company authorising the buy-back; (4) Every buy-back shall be completed within a period of one year from the date of passing of the special resolution, or as the case may be, the resolution passed by the Board under clause (b) of sub-section (2).

60. Ans. b. Not less than eight financial years,
Section 128. Books of account, etc., to be kept by company- (5) The books of account of every company relating to a period of not less than eight financial years immediately preceding a financial year, or where the company had been in existence for a period less than eight years, in respect of all the preceding years together with the vouchers relevant to any entry in such books of account shall be kept in good order: Provided that where an investigation has been ordered in respect of the company under

Chapter XIV, the Central Government may direct that the books of account may be kept for such longer period as it may deem fit.

61. Ans. c. Section 132,
Section 132. Constitution of National Financial Reporting Authority- (1) The Central Government may, by notification, constitute a National Financial Reporting Authority to provide for matters relating to accounting and auditing standards under this Act.

62. Ans. d. Company secretary, or where there is no company secretary, by the director of the company,
Section 92.Annual return- (1) Every company shall prepare a return (hereinafter referred to as the annual return) in the prescribed form containing the particulars as they stood on the close of the financial year regarding— Provided that in relation to One Person Company , small company and private company (if such private company is a start-up), the annual return shall be signed by the company secretary, or where there is no company secretary, by the director of the company.

63. Ans. a. 60 days,
Section 92.Annual return - (4) Every company shall file with the Registrar a copy of the annual return, within sixty days from the date on which the annual general meeting is held or where no annual general meeting is held in any year within sixty days from the date on which the annual general meeting should have been held together with the statement specifying the reasons for not holding the annual general meeting, with such fees or additional fees as may be prescribed.

64. Ans. d. All the above,
Section 114.Ordinary and special resolutions- (2) A resolution shall be a special resolution when— (a) the intention to propose the resolution as a special resolution has been duly specified in the notice calling the general meeting or other intimation given to the members of the resolution; (b) the notice required under this Act has been duly given; and (c) the votes cast in favour of the resolution, whether on a show of hands, or electronically or on a poll, as the case may be, by members who, being entitled so to do, vote in person or by proxy or by postal ballot, are required to be not less than three times the number of the votes, if any, cast against the resolution by members so entitled and voting.

65. Ans. d. All the above,
Section 105.Proxies- (1) Any member of a company entitled to attend and vote at a meeting of the company shall be entitled to appoint another person as a proxy to attend and vote at the meeting on his behalf: Provided that a proxy shall not have the right to speak at such meeting and shall not be entitled to vote except on a poll, (6) The instrument appointing a proxy shall— (a) be in writing; and (b) be signed by the

appointer or his attorney duly authorised in writing or, if the appointer is a body corporate, be under its seal or be signed by an officer or an attorney duly authorised by it.

66. Ans. a. Two members personally present,
Section 103.Quorum for meetings- (1) Unless the articles of the company provide for a larger number— (b) in the case of a private company, two members personally present, shall be the quorum for a meeting of the company.

67. Ans. c. Within nine months from the date of closing of the first financial year of the company,
Section 96 Annual general meeting- (1) Every company other than a One Person Company shall in each year hold in addition to any other meetings, a general meeting as its annual general meeting and shall specify the meeting as such in the notices calling it, and not more than fifteen months shall elapse between the date of one annual general meeting of a company and that of the next: Provided that in case of the first annual general meeting, it shall be held within a period of nine months from the date of closing of the first financial year of the company and in any other case, within a period of six months, from the date of closing of the financial year : Provided further that if a company holds its first annual general meeting as aforesaid, it shall not be necessary for the company to hold any annual general meeting in the year of its incorporation: Provided also that the Registrar may, for any special reason, extend the time within which any annual general meeting, other than the first annual general meeting, shall be held, by a period not exceeding three months.

68. Ans. c. Personally responsible, without any limitation of liability,
Section 35.Civil liability for mis-statements in prospectus- (3) Notwithstanding anything contained in this section, where it is proved that a prospectus has been issued with intent to defraud the applicants for the securities of a company or any other person or for any fraudulent purpose, every person referred to in sub-section (1) shall be personally responsible, without any limitation of liability, for all or any of the losses or damages that may have been incurred by any person who subscribed to the securities on the basis of such prospectus.

69. Ans. e. Either (a) or (b),
Section 25 Document containing offer of securities for sale to be deemed prospectus- (2) For the purposes of this Act, it shall, unless the contrary is proved, be evidence that an allotment of, or an agreement to allot, securities was made with a view to the securities being offered for sale to the public if it is shown— (a) that an offer of the securities or of any of them for sale to the public was made within six months after the allotment or agreement to allot; or (b) that at the date when the offer was made,

the whole consideration to be received by the company in respect of the securities had not been received by it.

70. Ans. a. Not be less than five per cent,
Section 39 Allotment of securities by company- (2) The amount payable on application on every security shall not be less than five per cent of the nominal amount of the security or such other percentage or amount, as may be specified by the Securities and Exchange Board by making regulations in this behalf.

71. Ans. a. At least three days prior,
Section 32 Red herring prospectus- (2) A company proposing to issue a red herring prospectus under sub-section (1) shall file it with the Registrar at least three days prior to the opening of the subscription list and the offer.

72. Ans. a. Central Government,
Section 8 Formation of companies with charitable objects, etc.- (4) (i) A company registered under this section shall not alter the provisions of its memorandum or articles except with the previous approval of the Central Government. (ii) A company registered under this section may convert itself into company of any other kind only after complying with such conditions as may be prescribed.

73. Ans. b. A special resolution,
Section 14 Alteration of articles- (1) Subject to the provisions of this Act and the conditions contained in its memorandum, if any, a company may, by a special resolution, alter its articles including alterations having the effect of conversion of— (a) a private company into a public company; or (b) a public company into a private company.

74. Ans. e. Both (a) and (b) or (c),
Section 244. Right to apply under section 241- (1) The following members of a company shall have the right to apply under section 241, namely:— (a) in the case of a company having a share capital, not less than one hundred members of the company or not less than one-tenth of the total number of its members, whichever is less, or any member or members holding not less than one tenth of the issued share capital of the company, subject to the condition that the applicant or applicants has or have paid all calls and other sums due on his or their shares; (b) in the case of a company not having a share capital, not less than one-fifth of the total number of its members.

75. Ans. d. National Company Law Tribunal,

Section 230. Power to compromise or make arrangements with creditors and members- (1) Where a compromise or arrangement is proposed— (a) between a company and its creditors or any class of them; or (b) between a company and its members or any class of them, the Tribunal may, on the application of the company or of any creditor or member of the company, or in the case of a company which is being wound up, of the liquidator appointed under this Act or under the Insolvency and Bankruptcy Code, 2016, as the case may be, order a meeting of the creditors or class of creditors, or of the members or class of members, as the case may be, to be called, held and conducted in such manner as the Tribunal directs.

76. Ans. a. Reserve Bank of India,
Section 234. Merger or amalgamation of company with foreign company- 2) Subject to the provisions of any other law for the time being in force, a foreign company , may with the prior approval of the Reserve Bank of India, merge into a company registered under this Act or vice versa and the terms and conditions of the scheme of merger may provide, among other things, for the payment of consideration to the shareholders of the merging company in cash, or in Depository Receipts, or partly in cash and partly in Depository Receipts, as the case may be, as per the scheme to be drawn up for the purpose.

77. Ans. b. Not exceed eleven per cent of the net profits,
Section 197. Overall maximum managerial remuneration and managerial remuneration in case of absence or inadequacy of profits- (1) The total managerial remuneration payable by a public company, to its directors, including managing director and whole-time director, and its manager in respect of any financial year shall not exceed eleven per cent. of the net profits of that company for that financial year computed in the manner laid down in section 198 except that the remuneration of the directors shall not be deducted from the gross profits. Provided that the company in general meeting may, authorise the payment of remuneration exceeding eleven per cent of the net profits of the company, subject to the provisions of Schedule V.

78. Ans. d. Section 185,
Loans to Directors etc.

79. Ans. d. All the above,
Section 188. Related party transactions- (1) Except with the consent of the Board of Directors given by a resolution at a meeting of the Board and subject to such conditions as may be prescribed, no company shall enter into any contract or arrangement with a related party with respect to— (a) sale, purchase or supply of any goods or materials; (b) selling or otherwise disposing of, or buying, property of any kind; (c) leasing of property of any kind; (d) availing or rendering of any services; (e) appointment of any agent for purchase or sale of goods, materials, services or

property; (f) such related party's appointment to any office or place of profit in the company, its subsidiary company or associate company; and (g) underwriting the subscription of any securities or derivatives thereof, of the company.

80. Ans. a. One third of its total strength or two directors, whichever is higher,
Section 174. Quorum for meetings of Board- (1) The quorum for a meeting of the Board of Directors of a company shall be one third of its total strength or two directors, whichever is higher, and the participation of the directors by video conferencing or by other audio-visual means shall also be counted for the purposes of quorum under this sub-section. Provided that the quorum shall not be less than two members.

81. Ans. c. 30 days,
Section 173. Meetings of Board- (1) Every company shall hold the first meeting of the Board of Directors within thirty days of the date of its incorporation and thereafter hold a minimum number of four meetings of its Board of Directors every year in such a manner that not more than one hundred and twenty days shall intervene between two consecutive meetings of the Board.

82. Ans. c. Not be less than five per cent of the nominal amount,
Section 39 Allotment of securities by company- (2) The amount payable on application on every security shall not be less than five per cent of the nominal amount of the security or such other percentage or amount, as may be specified by the Securities and Exchange Board by making regulations in this behalf.

83. d. Either (a) or (b),
Companies (Acceptance of Deposits) Rules, 2014- Rule 2 Definitions- (e) "eligible company" means a public company as referred to in sub-section (1) of section 76, having a net worth of not less than one hundred crore rupees or a turnover of not less than five hundred crore rupees and which has obtained the prior consent of the company in general meeting by means of a special resolution and also filed the said resolution with the Registrar of Companies before making any invitation to the Public for acceptance of deposits:
Section 76 Acceptance of deposits from public by certain companies- (1) Notwithstanding anything contained in section 73, a public company, having such net worth or turnover as may be prescribed, may accept deposit from persons other than its members subject to compliance with the requirements provided in sub-section (2) of section 73 and subject to such rules as the Central Government may, in consultation with the Reserve Bank of India, prescribe.

84. Ans. c. Corporate Social Responsibility,

Section 135 Corporate Social Responsibility- (3) The Corporate Social Responsibility Committee shall- (a) formulate and recommend to the Board, a Corporate Social Responsibility Policy which shall indicate the activities to be undertaken by the company as specified in Schedule VII in areas or subject, specified in Schedule VII;
Schedules under Companies Act 2013- 1. Schedule I: Memorandum and Articles (Section 4 and 5), 2. Schedule II: Depreciation (Section 123), 3. Schedule III: Balance Sheet and Statement of Profit & Loss (Section 129), 4. Schedule IV: Code for Independent Directors (Section 149(8)), 5. Schedule V: Appointment of managing director, whole-time director or manager (Section 196 and 197), 6. Schedule VI: Infrastructure Projects (Section 55 and 186), 7. Schedule VII: Corporate Social Responsibility (Section 135).

85. Ans. d. Section 2 (68),
Section 2(68) private company- "private company" means a company having a minimum paid-up share capital as may be prescribed, and which by its articles: (i) restricts the right to transfer its shares; (ii) except in case of One Person Company, limits the number of its members to two hundred: Provided that where two or more persons hold one or more shares in a company jointly, they shall, for the purposes of this clause, be treated as a single member.

86. Ans. d. Section 3 (1),
Section 3 Formation of company- (1) A Company may be formed for any lawful purpose by— (a) seven or more persons, where the company to be formed is to be a public company ; (b) two or more persons, where the company to be formed is to be a private company ; or (c) One Person, where the company to be formed is to be One Person Company that is to say, a private company, by subscribing their names or his name to a memorandum and complying with the requirements of this Act in respect of registration.

87. Ans. b. 2 years, all the resolutions placed before the company,
Explanation: Section 47 Voting rights- (2) Provided further that where the dividend in respect of a class of preference shares has not been paid for a period of two years or more, such class of preference shareholders shall have a right to vote on all the resolutions placed before the company.

88. Ans. e. Both (b) & (c),
Section 47.Voting rights- (2) Every member of a company limited by shares and holding any preference share capital therein shall, in respect of such capital, have a right to vote only on resolutions placed before the company which directly affect the rights attached to his preference shares and, any resolution for the winding up of the company or for the repayment or reduction of its equity or preference share capital and his voting right on a poll shall be in proportion to his share in the paid-up preference share capital of the company.

89. Ans. e. Both (a) and either (b) or (c),
Section 53.Prohibition on issue of shares at discount - (2A) Notwithstanding anything contained in sub-sections (1) and (2), a company may issue shares at a discount to its creditors when its debt is converted into shares in pursuance of any statutory resolution plan or debt restructuring scheme in accordance with any guidelines or directions or regulations specified by the Reserve Bank of India under the Reserve Bank of India Act, 1934 or the Banking (Regulation) Act, 1949.

90. Ans. c. 12 months,
Section 54. Issue of sweat equity shares- (d) where the equity shares of the company are listed on a recognised stock exchange, the sweat equity shares are issued in accordance with the regulations made by the Securities and Exchange Board in this behalf and if they are not so listed, the sweat equity shares are issued in accordance with such rules as may be prescribed. Companies (Share Capital and Debentures) Rules, 2014- Rule 8- Issue of Sweat Equity shares- (3) The special resolution authorising the issue of sweat equity shares shall be valid for making the allotment within a period of not more than twelve months from the date of passing of the special resolution.

91. Ans. d. All the above,
Section 2(31) deposit- Includes any receipt of money by way of deposit or loan or in any other form by a company but does not include such categories of amount as may be prescribed in consultation with the Reserve Bank of India. Section 73 Prohibition on acceptance of deposits from public- (1) On and after the commencement of this Act, no company shall invite, accept or renew deposit under this Act from the public except in a manner provided under this Chapter: Provided that nothing in this sub-section shall apply to a banking company and non-banking financial company as defined in the Reserve Bank of India Act, 1934 (2 of 1934) and to such other company as the Central Government may, after consultation with the Reserve Bank of India, specify in this behalf.

92. Ans. c. 200,
Section 42.Offer or invitation for subscription of securities on private placement- (2) A private placement shall be made only to a select group of persons who have been identified by the Board (herein referred to as “identified persons”), whose number shall not exceed fifty or such higher number as may be prescribed [excluding the qualified institutional buyers and employees of the company being offered securities under a scheme of employees stock option in terms of provisions of clause (b) of sub-section (1) of section 62, in a financial year subject to such conditions as may be prescribed. Companies (Prospectus and Allotment of Securities) Rules,2014- Rule 14. Private

Placement-(2) For the purpose of sub-section (2) of section 42, an offer or invitation to subscribe securities under private placement shall not be made to persons more than two hundred in the aggregate in a financial year: Provided that any offer or invitation made to qualified institutional buyers, or to employees of the company under a scheme of employees stock option as per provisions of clause (b) of sub-section (1) of section 62 shall not be considered while calculating the limit of two hundred persons.

93. Ans. c. Doctrine of Indoor Management,
The doctrine of indoor management is also known as the Turquand rule because the doctrine came into existence in 1856 with the landmark case of Royal British Bank v. Turquand. It protects outsiders against the actions done by the company.

94. Ans. d. Both (a) & (c),
Section 2(1) abridged prospectus - "abridged prospectus" means a memorandum containing such salient features of a prospectus as may be specified by the Securities and Exchange Board by making regulations in this behalf.

95. Ans. d. The rules and regulations governing the internal management of the company,
Section 4 Memorandum- (1) The memorandum of a Company shall state— (a) the name of the company with the last word 'Limited' in the case of a public limited company, or the last words 'Private Limited' in the case of a private limited company; (b) the State in which the registered office of the company is to be situated; (c) the objects for which the company is proposed to be incorporated and any matter considered necessary in furtherance thereof; (d) the liability of members of the company, whether limited or unlimited; (e) in the case of a company having a share capital,— (i) the amount of share capital with which the company is to be registered and the division thereof into shares of a fixed amount and the number of shares which the subscribers to the memorandum agree to subscribe which shall not be less than one share; and (ii) the number of shares each subscriber to the memorandum intends to take, indicated opposite his name; (f) in the case of One Person Company , the name of the person who in the event of death of the subscriber shall become the member of the company.

96. Ans. d. All the above,
Section 138. Internal audit- (1) Such class or classes of companies as may be prescribed shall be required to appoint an internal auditor, who shall either be a chartered accountant or a cost accountant, or such other professional as may be decided by the Board to conduct internal audit of the functions and activities of the company. Companies (Accounts) Rules, 2014- 13. Companies required to appoint internal auditor: (1) The following class of companies shall be required to appoint an internal auditor or a firm of internal auditors which may be either an individual or a partnership firm or a body corporate , namely:- (a) every listed company; (b) every

unlisted public company having- (i) paid up share capital of fifty crore rupees or more during the preceding financial year; or (ii) turnover of two hundred crore rupees or more during the preceding financial year; or (iii) outstanding loans or borrowings from banks or public financial institutions exceeding one hundred crore rupees or more at any point of time during the preceding financial year; or (iv) outstanding deposits of twenty five crore rupees or more at any point of time during the preceding financial year; and (c) every private company having- (i) turnover of two hundred crore rupees or more during the preceding financial year; or (ii) outstanding loans or borrowings from banks or public financial institutions exceeding one hundred crore rupees or more at any point of time during the preceding financial year: Provided that an existing company covered under any of the above criteria shall comply with the requirements of section 138 and this rule within six months of commencement of such section.

97. Ans. d. Either (a) or (b) whichever is less,
Section 135. Corporate Social Responsibility- (7) If a company is in default in complying with the provisions of sub-section (5) or sub section (6), the company shall be liable to a penalty of twice the amount required to be transferred by the company to the Fund specified in Schedule VII or the Unspent Corporate Social Responsibility Account, as the case may be, or one crore rupees, whichever is less, and every officer of the company who is in default shall be liable to a penalty of one-tenth of the amount required to be transferred by the company to such Fund specified in Schedule VII, or the Unspent Corporate Social Responsibility Account, as the case may be, or two lakh rupees, whichever is less."

98. Ans. e. Section 129A,
Section 129. Financial statement- 129A Periodical financial results-The Central Government may, require such class or classes of unlisted companies, as may be prescribed— (a) to prepare the financial results of the company on such periodical basis and in such form as may be prescribed; (b) to obtain approval of the Board of Directors and complete audit or limited review of such periodical financial results in such manner as may be prescribed; and (c) file a copy with the Registrar within a period of thirty days of completion of the relevant period with such fees as may be prescribed.

99. Ans. e. Both (a) & (c),
Section 408 Constitution of National Company Law Tribunal- The Central Government shall, by notification , constitute, with effect from such date as may be specified therein, a Tribunal to be known as the National Company Law Tribunal consisting of a President and such number of Judicial and Technical members, as the Central Government may deem necessary, to be appointed by it by notification, to exercise and discharge such powers and functions as are, or may be, conferred on it by or under this Act or any other law for the time being in force.

100. Ans. a. A President and such number of Judicial and Technical members, Section 408. Constitution of National Company Law Tribunal- The Central Government shall, by notification , constitute, with effect from such date as may be specified therein, a Tribunal to be known as the National Company Law Tribunal consisting of a President and such number of Judicial and Technical members, as the Central Government may deem necessary, to be appointed by it by notification, to exercise and discharge such powers and functions as are, or may be, conferred on it by or under this Act or any other law for the time being in force.

101. Ans. b. A person who is or has been a Judge of a High Court for five years, Section 409. Qualification of President and Members of Tribunal- (1) The President shall be a person who is or has been a Judge of a High Court for five years.

102. Ans. b. Supreme Court,
Section 423. Appeal to Supreme Court- Any person aggrieved by any order of the Appellate Tribunal may file an appeal to the Supreme Court within sixty days from the date of receipt of the order of the Appellate Tribunal to him on any question of law arising out of such order.

103. Ans. d. Central Government,
Section 435. Establishment of Special Courts- (1) The Central Government may, for the purpose of providing speedy trial of offences under this Act, except under section 452, by notification establish or designate as many Special Courts as may be necessary.

104. Ans. c. Both (a) & (b),
Section 435. Establishment of Special Courts- (2) A Special Court shall consist of— (a) a single judge holding office as Session Judge or Additional Session Judge, in case of offences punishable under this Act with imprisonment of two years or more; and (b) a Metropolitan Magistrate or a Judicial Magistrate of the First Class, in the case of other offences, who shall be appointed by the Central Government with the concurrence of the Chief Justice of the High Court within whose jurisdiction the judge to be appointed is working.

105. Ans. b. 3 months,
Section 442. Mediation and Conciliation Panel- (5) The Mediation and Conciliation Panel shall follow such procedure as may be prescribed and dispose of the matter referred to it within a period of three months from the date of such reference and forward its recommendations to the Central Government or the Tribunal or the Appellate Tribunal, as the case may be.

106. Ans. a. High Court,
Section 437. Appeal and revision- The High Court may exercise, so far as may be applicable, all the powers conferred by Chapters XXIX and XXX of the Code of Criminal Procedure, 1973 on a High Court, as if a Special Court within the local limits of the jurisdiction of the High Court were a Court of Session trying cases within the local limits of the jurisdiction of the High Court.

107. Ans. d. All the above,
Section 446. Application of fines- 446A. Factors for determining level of punishment- The court or the Special Court, while deciding the amount of fine or imprisonment under this Act, shall have due regard to the following factors, namely: — (a) size of the company; (b) nature of business carried on by the company; (c) injury to public interest; (d) nature of the default; and (e) repetition of the default.

108. Ans. a. President of the Tribunal,
Section 419. Benches of Tribunal- (2) The Principal Bench of the Tribunal shall be at New Delhi which shall be presided over by the President of the Tribunal.

109. Ans. a. 5 years,
Section 413. Term of office of President, chairperson and other Members- (1) The President and every other Member of the Tribunal shall hold office as such for a term of five years from the date on which he enters upon his office, but shall be eligible for re-appointment for another term of five years.

110. Ans. c. Imprisonment for a term which may extend to five years or with fine which may extend to fifty lakh rupees or with both,
Section 447. Punishment for fraud- Provided further that where the fraud involves an amount less than ten lakh rupees or one per cent. of the turnover of the company, whichever is lower, and does not involve public interest, any person guilty of such fraud shall be punishable with imprisonment for a term which may extend to five years or with fine which may extend to fifty lakh rupees.

111. Ans. d. Both (a) & (c),
Section 450. Punishment where no specific penalty or punishment is provided- If a company or any officer of a company or any other person contravenes any of the provisions of this Act or the rules made thereunder, or any condition, limitation or restriction subject to which any approval, sanction, consent, confirmation, recognition, direction or exemption in relation to any matter has been accorded, given or granted, and for which no penalty or punishment is provided elsewhere in this Act, the company and every officer of the company who is in default or such other person shall be liable to a penalty of ten thousand rupees, and in case of continuing contravention, with a further penalty of one thousand rupees for each day after the first during which the contravention continues, subject to a maximum of two lakh rupees in case of a

company and fifty thousand rupees in case of an officer who is in default or any other person.

112. Ans. a. Fine which shall not be less than five hundred rupees but may extend to two thousand rupees for every day for which that name or title has been used, Section 453. Punishment for improper use of "Limited" or "Private Limited"- If any person or persons trade or carry on business under any name or title, of which the word "Limited" or the words "Private Limited" or any contraction or imitation thereof is or are the last word or words, that person or each of those persons shall, unless duly incorporated with limited liability, or unless duly incorporated as a private company with limited liability, as the case may be, punishable with fine which shall not be less than five hundred rupees but may extend to two thousand rupees for every day for which that name or title has been used.

113. Ans. d. Chief Justice of India,
Section 417. Removal of Members- (1) The Central Government may, after consultation with the Chief Justice of India, remove from office the President, Chairperson or any Member who— (a) has been adjudged an insolvent; or (b) has been convicted of an offence which, in the opinion of the Central Government, involves moral turpitude; or (c) has become physically or mentally incapable of acting as such President, the Chairperson, or Member; or (d) has acquired such financial or other interest as is likely to affect prejudicially his functions as such President, the Chairperson or Member; or (e) has so abused his position as to render his continuance in office prejudicial to the public interest: Provided that the President, the Chairperson or the Member shall not be removed on any of the grounds specified in clauses (b) to (e) without giving him a reasonable opportunity of being heard.

114. Ans. c. Chairperson of the Appellate Tribunal,
Section 407. Definitions- (a) "Chairperson" means the Chairperson of the Appellate Tribunal; (b) "Judicial Member" means a member of the Tribunal or the Appellate Tribunal appointed as such and includes the President or the Chairperson, as the case may be; (c) "Member" means a member, whether Judicial or Technical of the Tribunal or the Appellate Tribunal and includes the President or the Chairperson, as the case may be; (d) "President" means the President of the Tribunal; (e) "Technical Member" means a member of the Tribunal or the Appellate Tribunal appointed as such.

115. Ans. a. A Judge of the Supreme Court or the Chief Justice of a High Court, Section 411. Qualifications of chairperson and Members of Appellate Tribunal- (1) The chairperson shall be a person who is or has been a Judge of the Supreme Court or the Chief Justice of a High Court.

116. Ans. b. 3 months,

Section 422. Expeditious disposal by Tribunal and Appellate Tribunal- (1) Every application or petition presented before the Tribunal and every appeal filed before the Appellate Tribunal shall be dealt with and disposed of by it as expeditiously as possible and every endeavour shall be made by the Tribunal or the Appellate Tribunal, as the case may be, for the disposal of such application or petition or appeal within three months from the date of its presentation before the Tribunal or the filing of the appeal before the Appellate Tribunal.

117. Ans. d. Section 443,

Notwithstanding anything contained in the Code of Criminal Procedure, 1973, the Central Government may appoint generally, or for any case, or in any case, or for any specified class of cases in any local area, one or more persons, as company prosecutors for the conduct of prosecutions arising out of this Act and the persons so appointed as company prosecutors shall have all the powers and privileges conferred by the Code on Public Prosecutors appointed under section 24 of the Code.

118. Ans. b. Twice the amount of fine for such offence in addition to any imprisonment provided for that offence,

Section 451. Punishment in case of repeated default- If a company or an officer of a company commits an offence punishable either with fine or with imprisonment and where the same offence is committed for the second or subsequent occasions within a period of three years, then, that company and every officer thereof who is in default shall be punishable with twice the amount of fine for such offence in addition to any imprisonment provided for that offence.

119. Ans. d. Dormant Company,

Section 455. Dormant company- (1) Where a company is formed and registered under this Act for a future project or to hold an asset or intellectual property and has no significant accounting transaction, such a company or an inactive company may make an application to the Registrar in such manner as may be prescribed for obtaining the status of a dormant company.

120. Ans. c. But not less than twice in each year,

Section 294. Audit of Company Liquidator's accounts: (2) The Company Liquidator shall, at such times as may be prescribed but not less than twice in each year during his tenure of office, present to the Tribunal an account of the receipts and payments as such liquidator in the prescribed form in duplicate, which shall be verified by a declaration in such form and manner as may be prescribed.

121. Ans. c. Any creditor or contributory may inspect the books, under the control of the Tribunal,

Section 293. Books to be kept by Company Liquidator: (2) Any creditor or contributory may, subject to the control of the Tribunal , inspect any such books, personally or through his agent.

122. Ans. d. The Company Liquidator must keep proper books, recording proceedings at meetings and other matters as prescribed,
Section 293. Books to be kept by Company Liquidator: (1) The Company Liquidator shall keep proper books in such manner, as may be prescribed, in which he shall cause entries or minutes to be made of proceedings at meetings and of such other matters as may be prescribed.

123. Ans. e. Both b & c,
Section 301. Arrest of person trying to leave India or abscond: At any time either before or after passing a winding up order, if the Tribunal is satisfied that a contributory or a person having property, accounts or papers of the company in his possession is about to leave India or otherwise to abscond, or is about to remove or conceal any of his property, for the purpose of evading payment of calls or of avoiding examination respecting the affairs of the company, the Tribunal may cause— (a) the contributory to be detained until such time as the Tribunal may order; and (b) his books and papers and movable property to be seized and safely kept until such time as the Tribunal may order.

124. Ans. e. Both a & b,
Section 302. Dissolution of company by Tribunal: (3) he Tribunal shall, within a period of thirty days from the date of the order— (a) forward a copy of the order to the Registrar who shall record in the register relating to the company a minute of the dissolution of the company; and (b) direct the Company Liquidator to forward a copy of the order to the Registrar who shall record in the register relating to the company a minute of the dissolution of the company.

125. Ans. e. The Tribunal dissolves a company upon application by the Company Liquidator or when it deems it just, and the company is dissolved from the date of the Tribunal's order,
Section 302. Dissolution of company by Tribunal: (2) The Tribunal shall on an application filed by the Company Liquidator under sub-section (1) or when the Tribunal is of the opinion that it is just and reasonable in the circumstances of the case that an order for the dissolution of the company should be made, make an order that the company be dissolved from the date of the order, and the company shall be dissolved accordingly.

126. Ans. d. The Company Liquidator makes an application to the Tribunal for the dissolution of the company,

Section 302. Dissolution of company by Tribunal: (1) When the affairs of a company have been completely wound up, the Company Liquidator shall make an application to the Tribunal for dissolution of such company.

127. Ans. d. The Tribunal has the authority to confirm, reverse, or modify the act or decision,
Section 292. Exercise and control of Company Liquidator's powers: (4) Any person aggrieved by any act or decision of the Company Liquidator may apply to the Tribunal, and the Tribunal may confirm, reverse or modify the act or decision complained of and make such further order as it thinks just and proper in the circumstances.

128. Ans. c. By not less than one-tenth in value of the creditors or contributories, as the case may be,
Section 292. Exercise and control of Company Liquidator's powers: (3) The Company Liquidator— (a) may summon meetings of the creditors or contributories, whenever he thinks fit, for the purpose of ascertaining their wishes; and (b) shall summon such meetings at such times, as the creditors or contributories, as the case may be, may, by resolution, direct, or whenever requested in writing to do so by not less than one-tenth in value of the creditors or contributories, as the case may be.

129. Ans. e. The instructions of the creditors or contributories take precedence over the advisory committee's directions,
Section 292. Exercise and control of Company Liquidator's powers: (2) Any directions given by the creditors or contributories at any general meeting shall, in case of conflict, be deemed to override any directions given by the advisory committee.

130. Ans. b. The resolution of the creditors or contributories at any general meeting or by the advisory committee,
Section 292. Exercise and control of Company Liquidator's power: (1) Subject to the provisions of this Act, the Company Liquidator shall, in the administration of the assets of the company and the distribution thereof among its creditors, have regard to any directions which may be given by the resolution of the creditors or contributories at any general meeting or by the advisory committee.

131. Ans. d. The company shall forfeit the right to oppose the petition, and responsible directors and officers shall be liable for punishment,
Section 274. Directions for filing statement of affairs: (2) A company, which fails to file the statement of affairs as referred to in sub-section (1), shall forfeit the right to oppose the petition and such directors and officers of the company as found responsible for such non-compliance, shall be liable for punishment under sub-section (4).

132. Ans. d. They must submit the completed and audited books of account to the liquidator within thirty days of the winding-up order,
Section 274. Directions for filing statement of affairs: (3) The directors and other officers of the company, in respect of which an order for winding up is passed by the Tribunal under clause (d) of sub-section (1) of section 273, shall, within a period of thirty days of such order, submit, at the cost of the company, the books of account of the company completed and audited up to the date of the order, to such liquidator and in the manner specified by the Tribunal.

133. Ans. e. They shall be imprisoned for a term which may extend to six months or with fine which shall not be less than twenty-five thousand rupees but which may extend to five lakh rupees, or with both,
Section 274. Directions for filing statement of affairs: (4) If any director or officer of the company contravenes the provisions of this section, the director or the officer of the company who is in default shall be punishable with imprisonment for a term which may extend to six months or with fine which shall not be less than twenty-five thousand rupees but which may extend to five lakh rupees, or with both.

134. Ans. e. Both a & c,
Section 274. Directions for filing statement of affairs: (5) The complaint may be filed in this behalf before the Special Court by Registrar, provisional liquidator, Company Liquidator or any person authorised by the Tribunal.

135. Ans. c. The Tribunal appoints an Official Liquidator or a Company Liquidator from a maintained panel,
Section 275. Company Liquidators and their appointments: (1) For the purposes of winding up of a company by the Tribunal , the Tribunal at the time of the passing of the order of winding up, shall appoint an Official Liquidator or a liquidator from the panel maintained under sub-section (2) as the Company Liquidator .

136. Ans. d. Any person registered as an insolvency professional under the IBC, 2016:
Section 275. Company Liquidators and their appointments: (2) The provisional liquidator or the Company Liquidator, as the case may be, shall be appointed by the Tribunal from amongst the insolvency professionals registered under the Insolvency and Bankruptcy Code, 2016.

137. Ans. d. The liquidator must file a declaration within seven days of appointment, disclosing any conflict of interest or lack of independence, and this obligation continues throughout their appointment,
Section 275. Company Liquidators and their appointments: (6) On appointment as provisional liquidator or Company Liquidator, as the case may be, such liquidator shall file a declaration within seven days from the date of appointment in the prescribed form disclosing conflict of interest or lack of independence in respect of his appointment, if any, with the Tribunal and such obligation shall continue throughout the term of his appointment.

138. Ans. d. Either b or c,
Section 276. Removal and replacement of liquidator: (1) The Tribunal may, on a reasonable cause being shown and for reasons to be recorded in writing, remove the provisional liquidator or the Company Liquidator, as the case may be, as liquidator of the company on any of the following grounds, namely:— (a) misconduct; (b) fraud or misfeasance; (c) professional incompetence or failure to exercise due care and diligence in performance of the powers and functions; (d) inability to act as provisional liquidator or as the case may be, Company Liquidator; (e) conflict of interest or lack of independence during the term of his appointment that would justify removal.

139. Ans. d. The Tribunal may transfer the work to another Company Liquidator for reasons to be recorded in writing,
Section 276. Removal and replacement of liquidator: (2) In the event of death, resignation or removal of the provisional liquidator or as the case may be, Company Liquidator, the Tribunal may transfer the work assigned to him or it to another Company Liquidator for reasons to be recorded in writing.

140. Ans. d. The Tribunal may recover or cause to be recovered such loss or damage from the liquidator and pass such other orders as it may think fit,
Section 276. Removal and replacement of liquidator: (3) Where the Tribunal is of the opinion that any liquidator is responsible for causing any loss or damage to the company due to fraud or misfeasance or failure to exercise due care and diligence in the performance of his or its powers and functions, the Tribunal may recover or cause to be recovered such loss or damage from the liquidator and pass such other orders as it may think fit.

141. Ans. c. Not exceeding seven days from the date of passing of the order, Section 277. Intimation to Company Liquidator, provisional liquidator and Registrar: (1) Where the Tribunal makes an order for appointment of provisional liquidator or for the winding up of a company, it shall, within a period not exceeding seven days from the date of passing of

the order, cause intimation thereof to be sent to the Company Liquidator or provisional liquidator, as the case may be, and the Registrar.

142. Ans. The Company Liquidator or provisional liquidator, as well as the Registrar, Section 277. Intimation to Company Liquidator, provisional liquidator and Registrar: (1) Where the Tribunal makes an order for appointment of provisional liquidator or for the winding up of a company, it shall, within a period not exceeding seven days from the date of passing of the order, cause intimation thereof to be sent to the Company Liquidator or provisional liquidator, as the case may be, and the Registrar.

143. Ans. a. They are automatically discharged from their roles,
Section 277. Intimation to Company Liquidator, provisional liquidator and Registrar: (3) The winding up order shall be deemed to be a notice of discharge to the officers , employees and workmen of the company, except when the business of the company is continued.

144. Ans. c. Within three week,
Section 277. Intimation to Company Liquidator, provisional liquidator and Registrar: (4) Within three weeks from the date of passing of winding up order, the Company Liquidator shall make an application to the Tribunal for constitution of a winding up committee to assist and monitor the progress of liquidation proceedings by the Company Liquidator in carrying out the function as provided in sub-section (5) and such winding up committee shall comprise of the following persons, namely:— (i) Official Liquidator attached to the Tribunal; (ii) nominee of secured creditors; and (iii) a professional nominated by the Tribunal.

145. Ans. e. Official Liquidator, nominee of secured creditors, and a professional nominated by the Tribunal,
Section 277. Intimation to Company Liquidator, provisional liquidator and Registrar: (4) Within three weeks from the date of passing of winding up order, the Company Liquidator shall make an application to the Tribunal for constitution of a winding up committee to assist and monitor the progress of liquidation proceedings by the Company Liquidator in carrying out the function as provided in sub-section (5) and such winding up committee shall comprise of the following persons, namely:— (i) Official Liquidator attached to the Tribunal; (ii) nominee of secured creditors; and (iii) a professional nominated by the Tribunal.

146. Ans. e. Assisting in various aspects such as asset takeover, examination of statements, recovery of property, audit review, creditor list finalization, claim settlements, dividend payments, and other functions as directed by the Tribunal,
Section 277. Intimation to Company Liquidator, provisional liquidator and Registrar: (5) The Company Liquidator shall be the convener of the meetings of the winding up committee which shall assist and monitor the liquidation proceedings in following areas of liquidation functions, namely:— (i) taking over assets; (ii) examination of the statement of affairs; (iii) recovery of property, cash or any other assets of the company including benefits derived therefrom; (iv) review of audit reports and accounts of the company; (v) sale of assets; (vi) finalisation of list of creditors and contributories; (vii) compromise, abandonment and settlement of claims; (viii) payment of dividends, if any; and (ix) any other function, as the Tribunal may direct from time to time.

147. Ans. a. Monthly,
Section 277. Intimation to Company Liquidator, provisional liquidator and Registrar: (6) The Company Liquidator shall place before the Tribunal a report along with minutes of the meetings of the committee on monthly basis duly signed by the members present in the meeting for consideration till the final report for dissolution of the company is submitted before the Tribunal.

148. Ans. a. The Company Liquidator,
Section 277. Intimation to Company Liquidator, provisional liquidator and Registrar: (7) The Company Liquidator shall prepare the draft final report for consideration and approval of the winding up committee.

149. Ans. c. To the National Company Law Tribunal,
Section 277. Intimation to Company Liquidator, provisional liquidator and Registrar: (8) The final report so approved by the winding up committee shall be submitted by the Company Liquidator before the Tribunal for passing of a dissolution order in respect of the company.

150. Ans. a. Promotion or formation, potential instances of fraud,
Section 281. Submission of report by Company Liquidator: (2) The Company Liquidator shall include in his report the manner in which the company was promoted or formed and whether in his opinion any fraud has been committed by any person in its promotion or formation or by any officer of the company in relation to the company since the formation thereof and any other matters which, in his opinion, it is desirable to bring to the notice of the Tribunal.